KOSDAQ Market Business Regulation

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March 8, 2021; August 25, 2021

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CHAPTERI. GENERAL PROVISIONS

§1. Purpose

The purpose of this Regulation is to stipulate the matters necessary for the trading of securities in the KOSDAQ Market (hereinafter referred to as “the Market”) that the Korea Exchange (hereinafter referred to as “the Exchange”) has established pursuant to Article 393 of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Act”). (Amended on October 21, 2009)

(Wholly amended on January 28, 2009)

§2. Definitions

(1) The term “listed-corporation” in this Regulation means a corporation that is listed on the Market and provided in Article 9(15) of the Act. (Amended on January 28, 2009; October 21, 2009)

(2) The term “members” in this Regulation means the securities members, the equity securities members, and collective investment securities members noted in [§3(1)1] through [§3(1)2-2] of the Membership Regulation. (Amended on March 4, 2026)

(3) The term “clearing members” in this Regulation refer to, from among the clearing members noted in [§3(2)1] of the Membership Regulation, those members who have the authority to settle the securities trades conducted in his/her name or the securities trades entrusted to them by non-clearing members. (Amended on January 28, 2009; October 21, 2009)

(4) The term “non-clearing members” in this Regulation refer to, from among the non-clearing members noted in [§3(2)2] of the Membership Regulation, those members who entrust the settlement of all securities trades conducted in his/her name to a clearing member. (Amended on January 28, 2009; October 21, 2009)

(5) [Deleted on October 21, 2009]

(6) The term "quotation" in this Regulation means the intent of bid or offer that the members express in the Market for the purpose of trading securities, and is classified into each of the following subparagraphs: (Amended on May 13, 2005; January 28, 2009; October 21, 2009; July 21, 2010; February 22, 2013; September 11, 2013)

1. Limit quotation: A quotation specifying the issue, quantity and price and intending to trade only at the price specified or better;

2. Market quotation: A quotation specifying the issue and quantity, but not the price, intending to trade at a price that is deemed in [§18(3)] and [§19(2)], respectively;

3. Immediately executable limit quotation: A quotation specifying the issue and quantity, but intending to trade at the prices set by the Enforcement Rules of this Regulation (hereinafter referred to as “the Enforcement Rules”), on the basis of the bid prices in the case of an offer quotation and on the basis of the offer prices in the case of a bid quotation;

4. Best limit quotation: A quotation specifying the issue and quantity, but intending to trade at the prices set by the Enforcement Rules, on the basis of other bid prices in the case of a bid quotation and other offer prices in the case of an offer quotation;

5. Limit-to-market-on-close quotation: A limit quotation with such conditions that it changes into a market quotation at the time when the price at market closing is determined by periodic call auction pursuant to [§18(1)2];

6. Auction-based block trade quotation: A quotation specifying the issue and quantity but intending to execute the trade at the price according to [§19-3] or [§21-2].

7. Mid-price quotation: A quotation specifying the issue and quantity, but intending to trade at a price set by the Enforcement Rules, on the basis of prices of the bid and offer quotations; and [February 5, 2025]

8. Stop-limit quotation: A quotation specifying the issue, quantity and price, but intending to trade when the stop price (referring to the conditional price for making the limit quotation effective) satisfies the conditions stipulated in the Enforcement Rules. [February 5, 2025]

(7) The term "simultaneous quotation" in this Regulation means a quotation that is treated equally, irrespective of sequence of the time when the quotations are received.

(8) The term “program trading” means a trade falling under any of the following subparagraphs: (Amended on January 28, 2009; October 21, 2009; December 5, 2018)

1. Index arbitrage trades: Any trade that is carried out in a form set by the Enforcement Rules, by linking a basket of constituent stocks of an index specified in the Enforcement Rules, from among the indices underlying stock price futures or stock price options specified in the “Derivatives Market Business Regulation”, and a futures contract or options contract on the same index, in order to gain profits by exploiting the differences in the price between the basket of constituent stocks of the index and the futures contract or options contract; or

2. Non-arbitrage trades: Any trade in which an identical person who is within the scope set by the Enforcement Rules buys or sells constituent stocks of KOSDAQ Index (referring to an index calculated by the Exchange based on the total aggregate market value with the base date of July 1, 1996; the same hereinafter) at once in excess of a specific number set forth in the Enforcement Rules.

(9) The term “own account transaction” in this Regulation refers to a buying or selling of securities by a member using its own name and account. (Amended on January 28, 2009; March 8, 2021)

(10) The term "customer account transaction" in this Regulation refers to a buying or selling of securities by a member upon receiving a trade entrustment from a customer. (Amended on January 28, 2009; March 8, 2021)

(11) [Deleted on January 28, 2009]

(12) The term "KOSDAQ system" in this Regulation refers to the computer system that the Exchange has developed and operates for the purpose of brokering the securities transaction among the members.

(13) The term "member computer system" in this Regulation refers to the computer systems transmitting the quotations to the KOSDAQ system from the head office, branch offices, and other business locations of the members.

(14) The term "opening price" in this Regulation means the first price established after the opening of the regular session (hereinafter referred to as "market opening").

(15) The term "closing price" in this Regulation means the last price (including the special quotation price) established at the closing time of the regular session (hereinafter referred to as "the market closing time"). (Amended on January 28, 2009; October 21, 2009; February 22, 2013)

(16) The term "special quotations" in this Regulation refers to, in cases of the issues that are not executed until the market closing time, if there are offer quotations (excluding an offer quotation submitted as a mid-price quotation: the same hereinafter in this paragraph) with the prices that are lower than the price used as the base in determining the price limit pursuant to [§14(1)] (hereinafter referred to as the "base price"), the lowest price of such offer quotation, and if there are bid quotations (excluding a bid quotation submitted as a mid-price quotation and all bid quotations submitted to different classes of stocks for which the price difference from the price of a common stock falls under the criteria specified in the Enforcement Rules; the same hereinafter in this paragraph) with the prices that are higher than the base price, the highest price of such bid quotations. In such cases, the price determined in accordance with [§18(3)] and [§19(2)] shall apply to the market quotation. (Amended on October 21, 2009; December 29, 2009; April 18, 2012; February 22, 2013; September 11, 2013; February 5, 2025)

(17) The term "depositary receipts (DRs) of foreign stocks" in this Regulation means DRs of foreign stocks pursuant to [§2(1)30] of the KOSDAQ Market Listing Regulation (hereinafter referred to as "the Listing Regulation"). (Amended on January 28, 2009; October 21, 2009; March 2, 2011; August 25, 2021) (Moved from paragraph (19), previous paragraph 17 deleted on December 7, 2022)

(18) The term "algorithmic trading" in this Regulation refers to the trading in which the judgement of investment, the generation and submission of quotations, etc. are conducted by an automated system that follows a certain principles without human intervention. [December 7, 2022]

(19) The term "high-speed algorithmic trading" in this Regulation refers to algorithmic trading conducted by the customer in a manner that meets all of the following requirements or

algorithmic trading conducted by members as proprietary trading. [December 7, 2022]

1. To use a dedicated order system owned by or directly controlled by the customer (referring to an order system with functions such as investment judgment, generation and submission of orders, etc.; hereinafter the same shall apply in this paragraph); and

2. The order system noted in subparagraph 1 is located within the member computer center (referring to the member computer center noted in the "Guidelines on Connection, etc. to Member Systems" stipulated by the Exchange pursuant to [§7-3(1)]; the same hereinafter) or in the building where the member computer center is located (hereinafter referred to as the "member computer center, etc."). (Amended on March 4, 2026)

(20) The term "high-speed algorithmic trader" refers to a customer or a member who has completed registration and reporting to the Exchange pursuant to [§104-3] to conduct high-speed algorithmic trading.

(21) The term "collective investment securities of business development collective investment vehicle" refers to stocks of investment company for business development collective investment vehicle or investment trust beneficiary certificates of business development collective investment vehicle under Article 229, Subparagraph 6 of the Act. [March 4, 2026]

(22) The terms used in this Regulation, except for the cases specifically defined in this Regulation, shall have the same meanings given to them in the Act, the Enforcement Decree of the Act, other relevant laws and other Regulations of the Exchange. (Amended on January 28, 2009)

§3. [Deleted on August 28, 2019]

CHAPTER II. MARKET OPERATION

§4. Division of the Market and Trading Hours

(1) The Market shall be divided into each of the following markets: (Amended on October 21, 2009; March 2, 2011; September 11, 2013)

1. The stock market;
1-2. [Deleted on September 11, 2013]
2. [Deleted on February 22, 2013]
3. The subscription warrants market;
4. The subscription right certificates market; and
5. The collective investment securities market of business development collective investment vehicle. [March 4, 2026]

(2) Besides the regular session, the off-hours session shall be operated for the markets noted in paragraph (1)1. [October 21, 2009] (Amended on February 22, 2013; September 11, 2013)

(3) The trading hours of the Market shall be each of the followings: (Amended on May 13, 2005;October 21, 2009; July 21, 2010; December 1, 2010; February 22, 2013; September 11,2013; June 18, 2014; April 29, 2015; June 8, 2016; April 3, 2019)

1. Regular session: From 09:00 to 15:30(in the case of determining prices at the market closing time pursuant to [§18(1)2], it shall be until the concerned prices are determined after 15:30). Provided that the regular session for the regular session auction-based block trades stipulated in [§19-3] shall be from 09:00 to 15:00.

2. In the case of off-hours sessions, the trading hours noted in each of the following items:

(a) Pre-hours sessions: It shall be from 08:00 to 09:00, but the trading hours of the off-hours closing price trade under [§20], it shall be from 08:30 to 08:40; and

(b) After-hours session: It shall be from 15:40 to 18:00(in the case of determining the closing price, it shall be until the concerned price is determined after 18:00), but, for the off-hours closing price trading under [§20], it shall be from 15:40 to 16:00 and for the off-hours periodic call auction under [§21-3], it shall be from 16:00 to 18:00.

(4) The Exchange may temporary change the trading hours noted in paragraph (3), in the case where it deems it necessary for market management and set forth in the Enforcement Rules, due to such events as the computer system failures, etc. (Amended on October 21, 2009)

§5. Closing of the Market

(1) The Exchange shall close the Market on the day falling under any one of the following subparagraphs: (Amended on October 21, 2009)

1. Saturday;

2. Public holiday pursuant to the Rules on Holidays of Public Agencies; (Amended on October 21, 2009)

3. Labor Day pursuant to the Designation of Workers' Day Act;

4. One (1) day at the year-end (in such cases, a holiday and Saturday shall not be included in counting); and

5. Additionally, the day when a sudden change in the economic conditions occurs or is expected to occur, or the day that the Exchange deems necessary for the market management.

(2) [Deleted on October 12, 2007]

§6. Temporary Closing of the Market and Reopening Thereafter

(1) The Exchange may, when it is deemed necessary for the market management, close the Market, in whole or in part.

(2) In cases where the Market was closed pursuant to paragraph (1), the Exchange shall, when the causes for market closing have been resolved, reopen the Market without delay.

§7. Intermediation of Transactions

The trade execution between the members in the Market shall be intermediated by the Exchange.

§7-2. Types of Trading

(1) The types of trading shall be each of the followings:

1. Cash delivery: The trade which is settled on the day the trade is executed;

2. Regular way: The trade which is settled on the third day counting from the day the trade is executed.

(2) In counting the number of days mentioned in paragraph (1)2, the market closing days shall be excluded.

(3) Notwithstanding paragraph (1), the Exchange may change the settlement date when it recognizes that the settlement may not be concluded normally due to the events such as the natural disaster, war, accident, sudden and drastic change in economic conditions, other similar incidents thereto, or computer system failure.

(4) The trading of issues shall be executed by the regular way, except for the case stipulated in the Enforcement Rules. (Amended on January 28, 2009)

[May 13, 2005]

§7-3. Guidelines for Connection to Member System

(1) To promote the fair competition in the Market and efficient and reliable operation of Exchange system, the Exchange shall establish the Guidelines on Connection, etc. to Member Systems governing the matters stipulated in the Enforcement Rules, including the methods of connection between the member system and Exchange system and between the member system and their customers. (Amended on December 7, 2022)

(2) In the case of establishing a new Guidelines on Connection, etc. to Member Systems, etc. pursuant to paragraph (1) or making a change therein, the Exchange shall notify such fact to the members without delay. (Amended on December 7, 2022)

(3) Each member shall comply with the Guidelines on Connection, etc. to Member Systems established by the Exchange pursuant to paragraph (1). (Amended on December 7, 2022)

[July 6, 2011]

CHAPTER III. TRADING

§8. Scope of Application

§9. Submission of Quotations

(1) Each member shall, when intending to conduct trade in the Market, submit the quotations by specifying if they are for the own account transaction or customer account transaction, and purchase or sale, respectively, during the quotation receiving hours stipulated in the Enforcement Rules. Provided that, in the cases stipulated in the Enforcement Rules, the details of orders for several accounts may be submitted en bloc. (Amended on July 20, 2007)

(2) [Deleted on August 28, 2019]

(3) The quotation that the member places according to the class of stock shall be stipulated in the Enforcement Rules. [October 21, 2009]

(4) The restrictions on quotation submission, the conversion to limit-to-market-on-close quotations, priority of effectuation as a limit quotation of a stop-limit quotation, and other necessary matters relating to quotation shall be stipulated in the Enforcement Rules. (Amended on May 13, 2005; February 5, 2025)

(5) [Deleted on May 13, 2005]

(6) [Deleted on May 13, 2005]

(7) Before transmitting the quotation to the Exchange system, the members shall ensure the appropriateness of quotation, etc. by individually checking (including the case where the work has been entrusted to the third party pursuant to Article 42 of the Act) the matters specified in the Enforcement Rules, and those quotations for which the appropriateness has been acknowledged shall be transmitted to the Exchange system without delay. [July 6, 2011]

(8) In case when a member cannot transmit quotations due to system failures of its member computer system, the member can enter the quotations into the Exchange computer system via member securities terminals (referring to the terminals, among those installed in head office, branch offices and other business locations of the member for the purpose of inputting quotations, which are connected to the Exchange computer system under the authorization of the Exchange; the same hereinafter). In such cases, the verification of appropriateness of quotations by the member stipulated in [§7] shall not be applicable.[November 4, 2015]

(9) In cases when a member changes the place where a member securities terminal is installed, the member shall, inform the Exchange of the fact without delay. [November 4, 2015]

§9-2. Restrictions on Quotations for Short Sale

(1) No member shall either conduct the short sale prescribed in Article 180(1)1 of the Act or place a quotation upon being entrusted with such short sale. Provided that, in the case of falling under any of the following subparagraphs, it shall not be deemed as a short sale: (Amended on February 22, 2013)

1. Case of selling the listed securities, for which the bid quote has been executed in the Market, within the matching quantity before the settlement date;

2. Case of selling the stocks to be acquired through the right exercise of convertible bonds, exchangeable bonds and bonds with warrant or through the capital increase with/without consideration, stock dividend, etc., for which the settlement is possible subsequent to listing of the concerned stocks before the settlement date;

3. Case where the settlement by the settlement date is feasible and falls under any of the following items:

   (a) Case of selling listed securities, for which the fact on being deposited with the custody institutions other than the member that received the entrustment of the sell order or on being held by other methods has been confirmed;

   (b) Case of selling collective investment securities to be obtained subsequent to the additional issuance of collective investment securities of listed business development collective investment vehicle; (Amended on February 22, 2022; March 4, 2026)

   (c) Case of selling listed securities to be obtained subsequent to the request for redemption of collective investment securities of ETF collective investment vehicle pursuant to Article 234 of the Act (hereinafter referred to as the “collective investment securities of ETF collective investment vehicle);

   (d) Case of selling listed securities to be obtained subsequent to termination of deposit contract of DRs of stocks;

   (e) Case of selling the securities on loan, for which the return is assured;

   (f) Case of selling the securities to be delivered subsequent to the trading in OTC market or other agreement;

   (g) Case of selling the DRs to be attained subsequent to the deposit of securities stipulated in Subparagraphs 1 through 4 of Article 208(1) of the Enforcement Decree of the Act; and

   (h) As a case where an agreement has been made with the customer to purchase the listed securities in the OTC market after the market closing on the day when the member placed the quotation, case of selling the concerned listed securities within the matching quantity.

(2) In the case of conducting a short sale noted in Article 180(1)2 of the Act (hereinafter referred to as the "covered short sale") or placing a quotation after receiving an entrustment of such covered short sale, a member shall place a quotation according to the manner noted in each of the following subparagraphs: (Amended on March 4, 2009)

1. When receiving an entrustment of an ask order from a customer:

(a) The member shall have been notified by the customer of the fact that the concerned ask order is for covered short sale. In such cases, if the customer is an officer or employee of the concerned listed corporation, such fact shall also be notified;

(b) The member shall verify if the ask order is for covered short sale and if the settlement obligation following the trade execution can be fulfilled;

(c) In cases where there is a concern about the possibility of non-fulfillment of settlement obligation following the execution of covered short sale, the member shall not either accept the entrustment of covered short sale or place the quotation for such covered short sale; and

(d) In the case of submitting a quotation for covered short sale, the member shall notify such fact to the Exchange.

2. When submitting a quotation for covered short sale, the member shall notify the Exchange of the fact that the quotation is for covered short sale.

(3) When making the verifications noted in paragraph (2)1(b), a member shall accomplish it according to each of the following methods. (Amended on March 4, 2009; December 11, 2013)

1. At the time of receiving an ask order, the member shall ask the customer to notify the facts if the concerned ask order is for covered short sale and if an agreement for securities borrowing has been entered;

2. The notification noted in subparagraph 1 shall be made according to any of the methods specified in the following items:

(a) By submitting written documents;
(b) Via telephone, telex, facsimile, electronic mail, etc.; and
(c) Via computer and similar electronic communication.

3. The details of information received shall be recorded and kept according to the manner stipulated in the Enforcement Rules.

(4) Notwithstanding paragraph (3), when a member has received a customer's consent not to submit orders for covered short sale and has modified the computer program not to submit

the covered short sale orders of the concerned customer's account, it shall be deemed that the verification pursuant to paragraph (2)1(b) has been made. Provided that, in cases where the customer has conducted a short sale from the account, the member shall make the verification noted in paragraph (2)1(b) using the methods under paragraph (3) for a period of one hundred and twenty (120) days from the trading day following the day when the member recognized such fact. [December 11, 2013] (Amended on December 5, 2018)

(5)[Deleted on February 8, 2017]

(6) Notwithstanding paragraph (2), the Exchange may restrict the covered short sale of the issue that falls under any of the following subparagraphs. Provided that, this provision shall not apply to the case of covered short sale quotations placed to conduct the trades stipulated in the Enforcement Rules. (Amended on September 19, 2012; June 8, 2016; February 8, 2017; March 8, 2021)

1. The issues falling under the criteria set by the Enforcement Rules such as the share price decline rate and the proportion of covered short sale, etc.; or

1-2. [Deleted on February 8, 2017]

2. The issues that the Financial Services Commission deems it likely to hinder the stability and formation of fair market prices on the securities market and accordingly restricts the covered short sale thereof pursuant to the Paragraph (3) of Article 180 of the Enforcement Decree of the Act, upon receiving the request from the Exchange, by specifying the scope of listed securities, type and deadline of trading, etc.

(7) When it is deemed necessary, the Exchange may request the member to submit the data relating to the short sale and covered short sale.

(8) The matters necessary with respect to the restrictions on the covered short sale quotations pursuant to paragraph (6) shall be stipulated in the Enforcement Rules. [February 8, 2017]

(Wholly amended on January 28, 2009)

§9-3. Restrictions on Prices of Quotations for Covered Short Sale

(1) In the case of conducting a covered short sale or placing a quotation after receiving an entrustment for a covered short sale pursuant to Article208(2) of the Enforcement Decree of the Act, the member shall not place the quotation at the price that is lower than the most recent market price. Provided that, in cases where the most recent market price is higher than the market price immediately before (referring to the market price established immediately before the most recent market price, which is different from the most recent market price), the quotation may be placed at the most recent market price. (Amended on July 6, 2007; January 28, 2009)

(2) Notwithstanding paragraph (1), members may place quotations at the prices below the most recent market price in any of the following cases: (Amended on July 7, 2006; October 12, 2007;

January 28, 2009; October 21, 2009; February 22, 2013;November 26, 2014; November 4, 2015; March 8, 2021)

1. Cases of selling a basket of constituent stocks for a trade that is conducted by linking the trading of the basket of constituent stocks with the trading of the index futures or options for the purpose of gaining profits by exploiting the difference between the price of the basket of constituent stocks of the relevant index and the price of index futures or options, and is stipulated in the Enforcement Rules;

1-2. As a case of selling the underlying stocks while linking the trading of underlying stocks with the trading of options or futures contracts for the purpose of gaining profits by exploiting the difference between the price of underlying stocks and the price of options or futures contracts based on such underlying stocks, the trade that is stipulated in the Enforcement Rules;

1-3. [Deleted on March 8, 2021]

2. [Deleted on March 8, 2021]

2-2. [Deleted on February 22, 2013]

2-3. [Deleted on March 8, 2021]

3. As a trade linking the DRs of stocks (including the DRs of foreign stocks: the same hereinafter in this subparagraph) and its underlying stocks, which is conducted for the purpose of gaining profits from the difference in the prices of DRs of stocks and underlying stocks, the case of selling/buying to conduct the trade stipulated in the Enforcement Rules;

4. [Deleted on March 8, 2021]

4-2. [Deleted on March 8, 2021]

5. Cases of selling the underlying stocks in order to avoid or cut the loss resulting from the price volatility of equity-linked warrant (ELWs) that was sold or purchased by the member who submits the liquidity providing quotation for the ELWs listed on the KOSPI Market pursuant to [§20-2(1)] of the KOSPI Market Business Regulation;

6.Case of selling the underlying stocks in order to avoid or cut the loss cause by the price volatility of collective investment securities of ETF collective investment vehicle purchased by the member who submits the liquidity providing quotation for collective investment securities of ETF collective investment vehicle purchased pursuant to [§20-2(1)] of the KOSPI Market Business Regulation;

6-2.Case of selling the underlying stocks in order to avoid or cut the loss occurred by the price volatility of ETN purchased by the member who submits the liquidity providing quotation for ETN pursuant to [§20-2(1)] of the KOSPI Market Business Regulation; and

7. Case of selling the underlying stocks in order to avoid or cut the loss caused by the price

volatility of futures contracts purchased or options contracts purchased or sold through the market making account by a member who is a market maker pursuant to [§83] of the Derivatives Market Business Regulation.

(3) Matters necessary for the price limit on quotation for covered short sale pursuant to paragraphs (1) and (2) shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009)

[May 13, 2005]

§9-4. Follow-up Management of Short Sale Quotations

(1) On the settlement dates, members shall collect the relevant materials such as the agreement for securities borrowing or details of balance of securities held from the customer (including the customer whom the trust business entity under Article182(2)1(b) of the Act and the depository under Article 6-21 of the Regulations on Financial Investment Business, has notified of the fact that although the balance of securities held by the customer is more than the quantity required for the settlement, no settlement instruction has arrived or there is flaw in the settlement instruction; but this provision shall not apply to the case where the customer settled the trade using the securities held before the settlement deadline) for whom the fact that the balance of securities held by the concerned customer is less than the quantity required for the settlement has been confirmed and verify whether the customer has sold the securities not in possession or the securities of which settlement cannot be made by the settlement deadline, and shall record and keep the concerned details. (Amended on October 21, 2009; September 19, 2012)

1. [Deleted on September 19, 2012]
2. [Deleted on September 19, 2012]

(2) Notwithstanding paragraph (1), paragraph (1) shall not apply to transactions of corporations that are required to take measures pursuant to Article 208-7(2)1(d) of the Enforcement Decree of the Act. [January 28, 2026]

(3) The Exchange may request a member to submit the details of the verification made pursuant to paragraph (1) on whether the customer has sold the securities not in possession or the securities of which settlement cannot be made by the settlement deadline and the materials relevant thereto. (Amended on September 19, 2012)

(4) In cases where the details of verification and the materials relevant thereto obtained from a member pursuant to paragraph (3) and the inspection, etc. have confirmed that the customer sold the securities not in possession or the securities of which settlement cannot be made by the settlement deadline during the latest six (6) months, or where the Financial Services Commission has notified of the fact of the customer's violation of Article180(1) of the Act, the Exchange may notify the details noted in any of the following subparagraphs and the information on the customer falling thereunder to the concerned member. In such cases, upon receiving the notification from the Exchange, the member shall notify other members of the concerned fact without delay. (Amended on September 19, 2012; February 8, 2017; December

5, 2018; January 28, 2026)

1. In the case of falling under any of the following items: To confirm the advance delivery of the securities sold when receiving orders for covered short sale from the concerned customer for a period of forty (40) days:

(a) Case where the number of days (hereinafter referred to as the "number of selling days") when securities not in possession or the securities of which settlement cannot be made by the settlement deadline is one (1) and the total amount sold (hereinafter referred to as the "accumulative amount sold") is over KRW 500 million and KRW 1 billion or less; or

(b) Case where the number of selling days is two (2) or more and four (4) or fewer, and the accumulative amount sold is KRW 500 million or less.

2. In the case of falling under any of the following items: To confirm the advance delivery of the securities sold when receiving orders for covered short sale from the concerned customer for a period of eighty (80) days:

(a) Case where the number of selling days is one (1) and the accumulative amount sold is over KRW 1 billion;

(b) Case where the number of selling days is two (2) or more and four (4) or fewer, and the accumulative amount sold is over KRW 500 million and KRX 1 billion or less; or

(c) Case where the number of selling days is five (5) or more and the accumulative amount sold is KRW 500 million or less.

3. In the case of falling under any of the following items: To confirm the advance delivery of the securities sold when receiving orders for covered short sale from the concerned customer for a period of one hundred and twenty (120) days:

(a) Case where the number of selling days is two (2) or more and four (4) or fewer, and the accumulative amount sold is over KRX 1 billion; or

(b) Case where the number of selling days is five (5) or more, and the accumulative amount sold is over KRW 500 million and KRX 1 billion or less.

4. In cases where the number of selling days is five (5) or more and the accumulative amount sold is over KRX 1 billion: To confirm the advance delivery of the securities sold for a period of one hundred and twenty (120) days.

(5) The provisions of paragraph (4) shall apply *mutatis mutandis* to the case where the Financial Services Commission has notified the Exchange that the customer violated the reporting obligations prescribed in Article180-2(1) of the Act or the disclosure obligations prescribed in Article180-3(1) of the Act. Provided that, this provision shall not apply to "during the latest six (6) months" noted in the text other than each subparagraph of paragraph (4). [September 19, 2012] (Amended on June 8, 2016; February 8, 2017; January 28, 2026)

(6) In applying paragraph (4) *mutatis mutandis* under paragraph (5), the "number of selling days" in each subparagraph of paragraph (4) shall be construed as the "number of days when the reporting obligations prescribed in Article180-2(1) of the Act or the disclosure obligations prescribed in Article180-3(1) of the Act have been violated" and the "accumulative amount sold" shall be construed as the "average daily amount of the amount violated the reporting obligations prescribed in Article180-2(1) of the Act or the disclosure obligations prescribed in Article180-3(1) of the Act". [September 19, 2012] (Amended on June 8, 2016; February 8, 2017; January 28, 2026)

(7) In addition, other matters necessary concerning follow-up management of short sale quotations shall be stipulated in the Enforcement Rules.

[January 28, 2009]

§10. Submission of Quotations for Trading of Treasury Stocks, etc.

(1) The member shall, when having received an entrustment to trade the treasury stocks from a listed corporation pursuant to Article 165-3 of the Act, place the quotations at any of the following prices during the quotation receiving hours for the regular session. Provided that, in the case of subparagraph (1)2 and paragraph (2), the quotation shall not be placed during the last thirty (30) minutes before the market closing time. (Amended on January 28, 2009; December 11, 2013; April 29, 2015; February 5, 2025)

1. In the case of placing quotations before the market opening

    (a) In the case of a bid, the prices that is higher than the previous day's closing price of concerned issues, but lower than the price that is 5/100 higher than the previous day's closing price. In such cases, if such price is inconsistent with the quotation price unit, it shall be the price falling under the closest quotation price unit toward the previous day's closing price.

    (b) In the case of an offer, the price between the previous day's closing price of concerned issues and the price that is two (2) quotation price units lower than the closing price.

2. In the case of placing quotations during the trading hours

    (a) In the case of a bid, the prices between the upper price limit, which is five (5) quotation units higher than the higher price between the last price and the best bid price (referring to the highest bid price excluding mid-price quotations; the same hereinafter) of the concerned issue, and the lower price limit, which is five (5) quotation units lower than the higher price between the last price and the best bid quotation of the concerned issue. [February 5, 2025]

    (b) In the case of an offer, the price between the upper price limit, which is five (5) quotation units higher than the lower price between the last price and the best offer quotation (referring to the lowest offer price excluding mid-price quotations; the same hereinafter) of the concerned issue and the lower price limit, which is five (5) quotation units lower than lower price between the last price and the best offer quotation of the concerned issue. [February 5, 2025]

(2) Members may correct the quotation price (including the correction quotations) stipulated in paragraph (1) with the price noted in paragraph (1)2 during the trading hours.

(3) Members shall, when intending to place quotation pursuant to paragraph (1), place the quotation in the manner stipulated in the Enforcement Rules within the period stipulated therein. (Amended on October 12, 2007)

(4) Notwithstanding paragraphs (1) through (3) above, in the case of falling under any of the following cases, members may trade the treasury stocks by way of off-hours block trading (excluding the pre-hours session): (Amended on September 8, 2006; January 28, 2009)

1. Case where an entrustment was received from a listed corporation that intends to buy back its treasury stocks from the government, the Bank of Korea, the Korea Deposit Insurance Corporation, the Korea Development Bank, the Industrial Bank of Korea, the Export-Import Bank of Korea and any corporation in which the government has made an equity investment no less than 50/100 of capital stock; and

2. Case where an entrustment was received from a listed corporation to which the government, for the purpose of achieving the government policies for promoting fair competition and privatization of public corporations, has granted a permission, approval, authorization or a written instruction or recommendation, and requested the FSC to approve, with regard to the company's buyback of its treasury stocks, and the FSC has approved that the buyback of treasury stocks by the company concerned does not interfere with the consumer protection.

(5) Notwithstanding paragraphs (1) through (3), the member may, when receiving an entrustment for disposal of treasury stocks from a listed corporation, conduct the trade by way of off-hours block trading, and In such cases, the offer price shall be the price falling under each of the following subparagraphs: (Amended on September 8, 2006; January 28, 2009)

1. The prices between the price that is 5/100 higher and the price that is 5/100 lower than the closing price of the day (the closing prices of the previous day, in the case of the pre-hours session; the same hereinafter in this Subparagraph). In such cases, if such price does not correspond to the quotation price unit, it shall be the price that is the closest quotation price unit toward the closing price; and

2. The prices between the upper and lower limit prices of the day.

(6) Necessary matters concerning the quotations, etc. under the provisions of paragraphs (1) through (5) shall be stipulated in the Enforcement Rules.

§11. Special Cases of Bid Quotation for Buyback of Treasury Stocks

(1) Notwithstanding [§10], the Exchange may, in the case of having obtained an approval from

the FSC for the protection of investors and the maintenance of the market stability against sudden changes in market conditions etc., have its members place quotations at the price pursuant to [§10(1) and (2)] upon receiving entrustment for buyback of treasury stocks from the listed corporations during the quotation receiving hours of the regular session. Provided that such quotation shall not be submitted from thirty (30) minutes before the market closing time to the market closing time. (Amended on January 28, 2009)

(2) Matters necessary concerning the quotations, etc. under the provisions of paragraph (1) shall be stipulated in the Enforcement Rules.

§12. Submission of Quotations for Trading of Treasury Stocks under Trust Contract

(1) The provisions of [§10 (excluding paragraph (4)] and [§11] shall apply *mutatis mutandis* to the case where a member has received an entrustment that falls under the trading of treasury stocks from trust business entities pursuant to [§36]. (Amended on January 28, 2009; October 21, 2009)

(2) In applying paragraph (1), the "listed corporation" shall be construed as "trust business entity", "trading of treasury stocks" shall be construed as "trading of treasury stocks under the trust contract", and "disposal of treasury stocks" shall be construed as "disposal of treasury stocks under the trust contract" and "buyback of treasury stocks by the listed corporations" in [§11] shall be construed as "buyback of treasury stocks under the trust contract by the listed corporations." (Amended on January 28, 2009; October 21, 2009)

§12-2. Liquidity Providing Members

(1) Any member, who has entered into an agreement for liquidity provision with a listed corporation that has issued any one of the following securities, may place a quotation providing liquidity for the concerned issue (hereinafter referred to as "liquidity providing quotation") during the regular session: (Amended on January 28, 2009;February 22, 2013)

1. Stocks (including DRs of foreign stocks: the same hereinafter in this Article through [§12-6]).
2. [Deleted on February 22, 2013]

(2) Any member intending to submit the liquidity providing quotation for the stocks pursuant to paragraph (1) shall satisfy the requirements noted in each of the following subparagraphs: (Amended on January 28, 2009; October 21, 2009)

1. To be a clearing member who has obtained the permit for investment dealing business for stocks;

2. To have designated an employee specifically responsible for the tasks concerning liquidity provision; and

3. In the case of coming under any of the following items, it has been elapsed at least one (1) year since that time:

(a) Case of having received the lowest grade for the three (3) consecutive times following the assessment conducted pursuant to [§12-6]; and

(b) Case where it has been confirmed that the disciplinary measure severer than criminal sanction or business suspension has been imposed as a result of infringing the relevant laws and decrees and the business regulations of the Exchange while performing the tasks of liquidity provision.

(3) If a member fails to satisfy paragraph (2)1, the member shall be prohibited from placing a liquidity providing quotation from such time, and in the case of failing to satisfy paragraphs (2)2 and (2)3, from the time of expiry of the term of agreement for liquidity provision that remains effective, respectively.

(4) In addition to paragraphs (1) through (3), matters necessary concerning liquidity providing members shall be stipulated in the Enforcement Rules.

[Wholly amended on October 12, 2007]

§12-3. Agreement for Liquidity Provision

(1) In order to place a liquidity providing quotation for a stock, each member shall enter into an agreement for liquidity provision with the stock-listed corporations in advance, which specifies such matters as the quotation spreads and quotation quantities, as stipulated in the Enforcement Rules. (Amended on January 28, 2009)

(2) In the case of entering into or terminating the agreement for liquidity provision pursuant to paragraph (1) or changing the details of such agreement, the member shall notify the fact to the Exchange in accordance with the manner stipulated in the Enforcement Rules.

[October 12, 2007]

§12-4. Obligation to Submit Liquidity Providing Quotations

(1) In cases where the quotation spread ratio during the trading hours of the regular session exceeds the limit specified in each of the following subparagraphs (including the case where there is no quotation on one side or both sides of bid or ask quotation), the liquidity providing quotations shall be submitted within five (5) minutes of such occurrence. Provided that, this provision shall not apply to the cases stipulated in the Enforcement Rules. (Amended on January 28, 2009; February 22, 2013)

1. In the case of stocks, the quotation spread ratio that the member, who entered into an agreement on liquidity provision with the concerned listed corporation, has notified to the Exchange, which is less than 2/100; and

2. [Deleted on February 22, 2013]

(2) “The quotation spread ratio” mentioned in paragraph (1) shall refer to the amount obtained by dividing the price difference between the offer quotation and the bid quotation by the best bid quotation price and multiplied by 100. (Amended on February 22, 2013)

[October 12, 2007]

§12-5. Submission Method of Liquidity Providing Quotation

(1) When placing the liquidity providing quotations for stocks (including the case of correcting the concerned quotations) using a separate account that the member opened in advance, such quotations shall be submitted using the prices specified in each of the following subparagraphs. Provided that, in cases where it is difficult to apply such prices, the quotation shall be placed in accordance with the manner stipulation in the Enforcement Rules. (Amended on March 2, 2011)

1. In the case of offer quotations:

   While setting the best bid quotation price of concerned issue as the lower limit price, and the higher price among the prices at which the quotation spread ratio falls within the ratio pursuant to [§12-4(1)1] and the best offer quotation price (only in the case where bid quotations have been submitted) as the upper limit price (the upper limit price shall be the limit), the prices between such lower and higher limit prices. Provided that, if a liquidity providing quotation at the best bid quotation price has already been submitted, no liquidity providing quotation shall be submitted at the best bid quotation price.

2. In the case of bid quotations:

   While setting the best offer quotation price as the upper limit price, and the lower price between the price at which the quotation spread ratio falls within the ratio pursuant to [§12-4(1)1] and the best bid quotation price (only in the case where bid quotations have been submitted) as the lower limit price (the lower limit price shall be the limit), the prices between such lower and higher limit prices. Provided that, if a liquidity providing quotation at best offer quotation price has already been submitted, no liquidity providing quotation shall be submitted at the best off quotation price.

(2) In cases where a member places a liquidity providing quotation for stocks or corrects such liquidity providing quotation, the matter concerning the quantity of such quotations shall be stipulated in the Enforcement Rules. (Amended on February 22, 2013)

(3) In cases where a member submits liquidity providing quotation for stocks on any one side of the offer or bid, such member shall submit a liquidity providing quotation for the other side without delay. Provided that, this provision shall not apply to the cases specified in the Enforcement Rules. (Amended on February 22, 2013)

(4) Additionally, other necessary matters such as the method of submitting a liquidity providing quotation and the restrictions on submission shall be stipulated in the Enforcement Rules.

[October 12, 2007]

§12-6. Assessment of Liquidity Providing Members

(1) The Exchange may assess the effectiveness of liquidity provision by the members in accordance with the provisions stipulated in the Enforcement Rules and make public the outcome of such assessment.

(2) Each member shall provide the Exchange with the materials required for the assessment under paragraph (1) in accordance with the manner stipulated in the Enforcement Rules.

[October 12, 2007]

§12-7. Market Makers

(1) Members who have entered into an agreement for market making with the Exchange to provide liquidity (hereinafter referred to as "market maker") may submit the quotations for market making (hereinafter referred to as "market making quotations") for the issues that are assessed by the Exchange as low liquidity issues (hereinafter referred to as "low-liquidity issues") in accordance with the manner stipulated in the Enforcement Rules. Provided that this provision shall not apply to the issues specified in the Enforcement Rules including those issues subject to different methods of trade execution pursuant to[§23-4].

(2) The members who are eligible for submission of the market making quotations pursuant to paragraph (1) shall meet each of the following requirements:

1. To be a clearing member who has obtained the license for investment dealing business for stocks;

2. To have designated an officer or staff responsible for the tasks relating to market making; and

3. Other requirements specified in the Enforcement Rules taking into consideration of expertise, risk management capability, financial soundness, social credit, etc.

(3) The selection of low-liquidity issues that are subject to market making quotations, matters to be stated in the market-making agreement, and the method of trade execution pursuant to paragraphs(1) and (2) , and other necessary matters shall be stipulated in the Enforcement Rules.

[November 4, 2015]

§12-8. Obligation to Maintain Market Making Quotations

(1) The market makers shall submit market-making quotations and maintain those quotations in accordance with the details of market-making agreements. Provided that, this provision shall not apply to the cases specified in the Enforcement Rules.

(2) The obligation to maintain market-making quotations, exemption from such obligation and other necessary matters shall be stipulated in the Enforcement Rules.

[November 4, 2015]

§12-9. Assessment of Market Makers, etc.

(1) The Exchange may take actions such as making payments for the market making activities within the amount of the fee revenue earned from the transactions of the stocks, etc. referred to in [§28-2(1)] or suspension of the market maker's qualification, etc., after assessing the market-making performance of market makers in accordance with the manner stipulated in the market- making agreement. (Amended on July 10, 2019)

(2) The assessment of a market maker, criteria on and method of the payment, criteria for the suspension of qualification and other necessary matters shall be stipulated in the Enforcement Rules.

[November 4, 2015]

§13. Management and Reporting of Program Trading Quotation, etc.

(1) In cases where, from among the futures contracts that are traded in the domestic futures market under [§3(2)1] of the Derivatives Market Business Regulation and use KOSDAQ 150 as underlying assets, the price of the futures contract of which the trading volume is the highest on the previous day (if there are two (2) or more such contracts, the contract for which the last trading date arrives the first), rises (or falls) by more than 6/100 for the base price under [§70(2)] of the same Regulation and the value of KOSDAQ 150 rises (or falls) more than 3/100 from the closing value of the previous day, and such situation lasts for one (1) minutes, the Exchange shall suspend the validity of the bid (or offer) quotations received for program trading for a period of five (5) minutes beginning from that point of time. Provided that, this provision shall not apply during the forty (40) minutes immediately before the market closing time. (Amended on October 14, 2005; October 12, 2007; January 28, 2009; July 1, 2009; December 5, 2018)

(2) The conditions for suspension of validity of program trading quotations shall be determined from the time when five (5) minutes have elapsed since the market opening and the suspension of validity of program trading quotations shall apply only to a quotation that falls under the quotation suspension conditions specified in paragraph (1) for the first time in the day. (Amended on July 1, 2009)

(3) When the program trading quotations for which validity has been suspended pursuant to paragraph (1) (including the quotations which have been placed to cancel or correct the concerned suspended quotation) falls under any of the following cases, the suspension of quotation validity shall be lifted, and In such cases, the quotations shall participate in the price determination in the order of receipt time: (Amended on July 1, 2009)

1. At the time when five (5) minutes have elapsed from the time of such suspension;

2. At the time of forty (40) minutes before the market closing time; and

3. In cases where the trading in the Market was suspended pursuant to [§26] during the period while the validity of program trading quotations has been suspended, at the time of resuming the concerned trade.

(4) [Deleted on July 10, 2019]

(5) [Deleted on July 10, 2019]

(6) [Deleted on July 10, 2019]

(7) Other matters necessary for management of program trading quotations shall be stipulated in the Enforcement Rules. (Amended on January 26, 2011; July 10, 2019)

(8) Each member shall report to the Exchange the information about its computer system related to the input details of quotations as stipulated in the Enforcement Rules.

(9) When the Exchange requests a member to submit materials that are deemed necessary for market management, the relevant member shall comply with the request without delay.

§14. Quotation Price Limit

(1) The quotation price of stocks, DRs of foreign stocks, and collective investment securities of business development collective investment vehicle shall neither be higher than the price obtained by adding the price limit (hereinafter referred to as "upper price limit") nor lower than the price obtained by subtracting the price limit (hereinafter referred to as "lower price limit") to/from the base price. (Amended on January 28, 2009; October 21, 2009; February 22, 2013; March 4, 2026)

(2) The price limit pursuant to paragraph (1) shall be equal to the amount calculated by multiplying the base price by 30/100 and other matters necessary for the price limit shall be stipulated in the Enforcement Rules. (Amended on March 25, 2005 October 21, 2009; April 29, 2015)

(3) Notwithstanding paragraph (2), in cases of the situations that are stipulated in the Enforcement Rules such as the sudden change in the market conditions, etc., the price limit may be determined differently. (Amended on October 21, 2009)

§15. Quotation Unit

The quotation quantity unit, the quotation price unit and the trading quantity unit of issues shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009)

§16. Receipt of Quotations

The Exchange shall receive the quotations through the KOSDAQ system. (Amended on October 12, 2007)

§16-2. Cancellation of Quotations upon Disconnection

(1) In the case where the connection between the member system and the Exchange system is recognized as disconnected and the Enforcement Rules stipulate, a member may request to the Exchange in advance to cancel quotations (hereinafter referred to as the "cancellation of disconnected quotations) within a certain range at once. In such case, the Exchange may cancel the quotations as stipulated in the Enforcement Rules.

(2) The methods of request and cancellation of the request under paragraph (1) and other necessary matters shall be stipulated by the Enforcement Rules.

[December 7, 2022]

§17. Auction Principles

(1) All trades in the Market shall be executed by way of individual auction and the individual auction shall be classified into the periodic call auction and the continuous auction.

(2) The priority of quotations in an individual auction shall be determined according to each of the following guidelines:

1. The lower offer shall have priority over higher offers, and higher bid shall have priority over lower bids. Provided that the market quotations should have priority over the limit quotations in terms of price; offer market quotation and offer limit quotation at the lower price limit, and bid market quotation and bid limit quotation at the upper price limit shall be deemed to be the quotations at the same price, respectively; and

2. In the case of the quotations with same price and the market quotations, the quotation received earlier shall have priority over the quotations received later.

(3) Notwithstanding paragraph (2)2, from among the quotations that participate in determination of the prices noted in [§18(1)1, 3 & 4], the following quotations shall be treated as simultaneous quotations, and the priority of simultaneous quotations shall be stipulated in the Enforcement Rules:

1. In cases where the relevant price is determined at the upper price limit, the quotations with upper bid price. In such cases, the market quotation which is deemed to be the upper price limit pursuant to [§18(3)] and the quotations that may be quoted at the upper price limit at the time of determining the first trading price of any issue stipulated in [§22] shall be included; and

2. In cases where the relevant price is determined at the lower price limit, the quotations

with lower offer price. In such cases, the market quotation which is deemed to be the lower price limit pursuant to [§18(3)] and the quotations that may be quoted at the lower price limit at the time of determining the first trading price of any issue stipulated in [§22] shall be included.

§18. Call Auction

(1) The price falling under any of the following subparagraphs shall be determined by way of periodic call auction. Provided that this shall not apply to cases stipulated in the Enforcement Rules.: (Amended on January 28, 2009; October 21, 2009; June 18, 2014; April 29, 2015; August 25, 2021; December 7, 2022)

1. The opening price;

2. The closing price;

3. The first price after reopening the market pursuant to [§6(2)] and [§26(1)];

4. The first price after the trading is resumed pursuant to [§25(3)] and [§18(2)] of the Listing Regulation and [§37(3)] of the KOSDAQ Market Disclosure Regulation (hereinafter referred to as "the Disclosure Regulation"); and

5. The first price after the methods of trade execution etc. are changed pursuant to [§23-3(1) and (3)].

(2) The range of quotations (hereinafter referred to as "quotations participating in periodic call auction") to be included in the determination of the prices noted in paragraph (1) shall be stipulated in the Enforcement Rules. (Amended on April 29, 2015)

(3) When the price is determined pursuant to paragraph (1), the market quotation shall be deemed to have been placed at each of the following prices: (Amended on October 21, 2009; February 5, 2025)

1. The most recent market price (if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit), in cases where there are only bid and offer market quotations. Provided that, when the total quantity of either bid or offer market quotations of one side is larger than that of the other side, the price shall be each of the following items:

(a) In cases where the aggregated quantity of offer market quotations is larger, the price (it shall be within the lower price limit) that is lower by one (1) quotation price unit than the most recent market price (if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit); and . (Amended on February 5, 2025)

(b) In cases where the aggregated quantity of bid market quotations is larger, the price (it shall be within the upper price limit) that is higher by one (1) quotation price unit than the most recent market price (if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are lower than that price and match the quotation price unit). (Amended on February 5, 2025)

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2. Cases other than the ones mentioned in subparagraph1, the offer market quotation shall be the lowest of the prices specified in following items:

(a) The price that is one (1) quotation price unit lower than the lowest offer limit quotation price (within the lower price limit);

(b) The lowest of the bid limit quotation prices; and

(c) The most recent market price (if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are lower than that price and match the quotation price unit). (Amended on February 5, 2025)

3. Cases other than those mentioned in subparagraph 1, the bid market quotation shall be the highest of the prices specified in following items:

(a) The price that is one (1) quotation price unit higher than the highest bid limit quotation price (within the upper price limit);

(b) The highest of the offer limit quotation prices; and

(c) The most recent market price (if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit). (Amended on February 5, 2025).

(4) The prices under paragraph (1) shall be deemed to be the prices where the aggregated quantity of offer quotations are matched with the aggregated quantity of bid quotations at a specific price (hereinafter referred to as the "matched price") according to each of the following methods, and the quotations matched according to the sequence of quotation priority pursuant to [§17(2) & (3)] shall be executed: (Amended on October 21, 2009)

1. The total quantity of offer quotations whose prices is lower than the matched price and the total quantity of bid quotations whose prices is higher than the matched price;

2. In the case of quotations at the matched price, the quantity specified in the followings:

(a) Total quantity of either bid or offer quotation; and

(b) Of the quantity in excess of the quantity of the other side, the quantity in excess of the quantity of trading unit of the concerned issue.

(5) In cases where there are two (2) or more matched prices, it shall be any one of the following prices. Provided that, when the use of any one of the following prices is deemed inappropriate,

it shall be a price stipulated in the Enforcement Rules: (Amended on October 21, 2009; February 5, 2025)

1. Case where there is a price that is equal to the most recent market price (including the special quotation price; the same hereinafter), such price; and

2. Case where there is no price that is equal to the most recent market price, the price shall be any of the following sub-items. (Amended on February 5, 2025).

(a) If the most recent price is higher than the highest matched price or lower than the lowest matched price: the price closest to the most recent price; and (Amended on February 5, 2025)

(b) If the most recent price is lower than the highest matched price and higher than the lowest matched price: the price closest to the most recent price among the matched prices higher than the most recent price. (Amended on February 5, 2025)

(6) In cases where there are two (2) prices at which the aggregated quantity of offer quotations is matched with the aggregated quantity of bid quotations pursuant to subparagraphs 1 and 2(a) of paragraph (4), the trade shall be executed regardless of subparagraph 2(b) of the same Paragraph. In such cases, paragraph (5) shall apply *mutatis mutandis* to the price determination. (Amended on October 21, 2009)

(7) When intending to determine the special quotation price pursuant to paragraph (5)1, the range of quotations that are eligible to participate in the determination of special quotation price may be restricted in accordance with the stipulation in the Enforcement Rules. (Amended on October 21, 2009)

(8) [Deleted on April 29, 2015]

(9) [Deleted on April 29, 2015]

§19. Continuous Auction

(1) The prices during the regular session, except those stipulated in [§18(1)], shall be determined by way of continuous auction.

(2) When determining the prices pursuant to paragraph (1), the market quotations shall be deemed to have been quoted at each of the following prices every time when such prices are determined: (Amended on February 5, 2025)

1. In the case of an offer market quotation, the lowest of the prices specified in the following items:

(a) The most recent market price (if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are lower than that price and match the quotation price unit) when there is no offer limit quotation. In case there are offer limit quotations, the price that is one (1) quotation price unit lower than the lowest price of offer limit quotations (within the lower price limit); and (Amended on February 5, 2025)

(b) The lowest price of bid limit quotations.

2. In the case of a bid market quotation, the highest of the prices specified in the following items:

(a) The most recent market price (if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit) when there is no bid limit quotations. In case there are bid limit quotations, the price that is one (1) quotation price unit higher than the highest price of bid limit quotations (within the upper price limit); and (Amended on February 5, 2025)

(b) The highest price of offer limit quotations.

(3) The prices under the provisions of paragraph (1) shall, when the highest bid price matches with the lowest offer price among the competitive bids and offers, be the prices of quotations received first, and trades shall be executed between the matching bids and offers in accordance with [§17(2)].

§19-2. Regular Session Block Trading

(1) When a member requests the Exchange to execute a trade between the bid and offer quotations of the same issue (limited to the stocks and DRs of foreign stocks), same quantity and same price during the regular session noted in [§4(3)1], the regular session block trade shall be conducted by way of executing the trade between such quotations. Provided that, no such trade shall be executed if the concerned issue was not traded during the regular session in the day until the time the concerned quotations are received. (Amended on October 21, 2009; July 21, 2010; February 22, 2013)

(2) The bid and offer prices that can be quoted when requesting the execution of regular session block trade pursuant to paragraph (1) shall be the price within the highest and lowest prices that were formed in the regular session of the day before receiving the concerned quotations. (Amended on October 21, 2009)

(3) The quantity requirement, trading quantity unit, and other necessary matters relating to the regular session block trade shall be stipulated in the Enforcement Rules.

[November 25, 2005]

§19-3. Regular Session Auction-based Block Trading

(1) Regular session auction-based block trades shall be executed between the auction-based block trade quotations for listed stocks and DRs for foreign stocks, which are received during

the quotation receiving hours for regular session auction-based block trade, at the price noted in each of the following subparagraphs: (Amended on February 22, 2013)

1. Trading volume weighted average price calculated on the basis of trades of concerned issue executed during the regular session after the execution of concerned auction-based block trade. In such cases, the method of calculating the trading volume weighted average price shall be stipulated in the Enforcement Rules.

2. In cases where the trading volume weighted average price noted in paragraph (1) is not available, it shall be the closing price of the day. If there is no closing price of the day, it shall be the price stipulated in the Enforcement Rules.

(2) The priority of quotations participating in the regular session auction-based block trade shall be based on the quotation receipt time; that is, the quotation received earlier shall have priority over the quotations received later.

(3) The quantity requirement and trading unit of quotations participating in the regular session auction-based block trade and other matters necessary for regular session auction-based block trade shall be stipulated in the Enforcement Rules.

[July 21, 2010]

§19-4. Regular Session Basket Trading

(1) When a member requests the Exchange to execute a trade between the bid and offer quotations, of which quantity and price are the same, of each issue forming basket (limited to the stocks and DRs of foreign stocks**;** the same hereinafter in this Article) during the regular session, the regular session basket trade shall be conducted by way of executing the trade of those issues forming basket en bloc.

(2) The range of bid and offer prices that can be quoted when requesting the execution of regular session basket trade pursuant to paragraph (1) shall be within the highest and lowest prices that were formed in the regular session of the day before receiving the concerned quotations for each issue.

(3) The number of basket-forming issue, the quantity requirement, trading quantity unit, and other necessary matters necessary for the regular session basket trade shall be stipulated in the Enforcement Rules.

[June 18, 2014]

§20. Off-hours Closing Price Trading

(1) In the case of off-hours closing price trade, the trade shall be executed at the closing price of the day (previous day, in the case of the pre-hours session; the same hereinafter in this Article), upon receiving the quotations during the quotation receiving hours for off-hours closing price trade. Provided that, no such trade shall be executed if the concerned issue was

not traded during the regular session of the day. (Amended on May 13, 2005; July 7, 2006)

(2) Trading quantity unit, priority of quotations and other necessary matters relating to the off-hours closing price trade shall be stipulated in the Enforcement Rules.

§21. Off-hours Block Trading

(1) When a member requests the Exchange to execute a trade between the bid and offer quotations, of which the issue, quantity and price are the same, during the quotation receiving hours of the off-hours sessions, the off-hours block trade shall be conducted by way of executing such trade. Provided that, no such trade shall be executed if the concerned issue was not traded during the regular session of the day (the previous day, in the case of pre-hours session) (Amended on July 7, 2006)

(2) The bid and offer prices that can be quoted when requesting the execution of off-hours block trade pursuant to paragraph (1) shall be the prices that are within the upper limit price and the lower limit price of the day. (Amended on November 25, 2005; July 10, 2019)

1. [Deleted on November 25, 2005]
2. [Deleted on November 25, 2005]

(3) In cases where a listed corporation buybacks its treasury stocks from the government or Korea Deposit Insurance Corporation by way of off-hours block trade pursuant to the [§10(4)]) or intends to buy back its treasury stocks by way of off-hours block trade by obtaining the approval from the FSC, such trade may, notwithstanding paragraph (20) and [§14], be conducted at the price submitted by the member that received the concerned entrustment. (Amended on January 28, 2009)

(4) The quantity requirement, trading quantity unit and other matters relating to the off-hours block trade shall be stipulated in the Enforcement Rules. (Amended on November 25, 2005)

§21-2. Off-hour Auction-based Block Trading

(1) Off-hours auction-based block trades shall be executed by matching the quotations for auction-based block trade, which are received for stocks and DRs for foreign stocks during the quotation receiving hours for off-hours session (limited to the pre-hours session), at the price noted in each of the following subparagraphs: (Amended on February 22, 2013)

1. The trading volume weighted average price calculated on the basis of trades of concerned issue executed during the regular session from the market opening time to the market closing time. In such cases, the method of calculating the trading volume weighted average price shall be stipulated in the Enforcement Rules.

2. In cases where no trading volume weighted average price noted in paragraph (1) is available, it shall be the closing price of the day. Provided that, if there is no closing price of the day is available, it shall be the price specified in the Enforcement Rules.

(2) The priority of quotations participating in off-hours auction-based block trade shall be determined according to the quotation receipt time; that is, the quotation received earlier shall have priority over the quotations received later.

(3) The quantity requirement and trading unit of quotation participating in the off-hour auction-based block trade and other matters necessary for off-hours auction-based block trade shall be stipulated in the Enforcement Rules.

[July 21, 2010]

§21-3. Off-hours Periodic Call Trading

(1) Off-hours periodic call trades shall be executed in accordance with the periodic call auction pursuant to [§18] after receiving the quotations during the quotation receiving hours for off-hours periodic call auction. Provided that in cases stipulated in the Enforcement rules, such as when a trade has not been executed during the regular trading session of the day, no such trade shall be executed. (Amended on January 28, 2009; February 5, 2025)

(2) The range of quotation participating in the determination of price noted in paragraph (1) shall be stipulated in the Enforcement Rules.

(3) The prices that are quoted for off-hours periodic call auction pursuant to paragraph (1) shall fall under each of the following prices:

1. The prices between the prices that are 10/100 higher and 10/100 lower than the closing price of the day. In such cases, [§14] shall apply *mutatis mutandis* to the application of quotation price unit, etc.; and

2. The prices that are within the upper price limit and the lower price limit of the day.

(4) Quotation priority and other matters necessary for the off-hours periodic call trade shall be stipulated in the Enforcement Rules.

[May 13, 2005]

§21-4. Off-hours Basket Trading

(1) When a member requests the Exchange for the execution of a trade between the bid and offer quotations for respective issues constituting a basket (limited to the stocks and DRs of foreign stocks; the same hereinafter in this Article), of which quantity and price are the same, during the quotation receiving hours of the off-hours sessions, the off-hours basket trading shall be carried out by way of executing the trade of the issues constituting such basket en bloc.

(2) The bid and offer prices that can be quoted when requesting the execution of off-hours basket trade pursuant to the provisions of paragraph (1) shall be the prices within the upper limit price and the lower limit price of the day for each issue. (Amended on July 10, 2019)

(3) The number of issues comprising a basket, required quantity, and the trading unit and other necessary matters relating to the off-hours basket trading shall be stipulated in the Enforcement Rules.

[June 18, 2014]

§22. Range of Quotations and Method of Determining Price of Initially Listed Issues

The method of determining the first trading prices of the initially listed issues and the issues specified in the Enforcement Rules and the ranges of participating quotations in the determination thereof may be differently determined through the stipulations in the Enforcement Rules.

§23. Trade Execution Methods, etc. of Issues scheduled to be delisted, etc.

(1) For an issue that falls under any of the following subparagraphs, the method of trade execution may differently be determined as stipulated in the Enforcement Rules. Provided that, for the issues falling under subparagraph 4, additional measures necessary for market management such as changing the price change limit, etc. may be taken pursuant to the stipulations in the Enforcement Rules.(Amended on January 28, 2009; April 18, 2012; October 17, 2012; October 1, 2014; February 8, 2017; August 25, 2021)

1. [Deleted on October 1, 2014]

2. An issue for which trading is permitted for a fixed period pursuant to [§23] of the Listing Regulation (hereinafter referred to as "the issues scheduled to be delisted");

3. An issue designated as a temporary overheated issue pursuant to [§23-2]; or

4. An issue with abnormally soaring prices noted in [§11(1)] of the Market Oversight Regulation, for which the Market Oversight Commission has requested for a change of trade execution method thereof pursuant to subparagraph 3 of [§12] of the same Regulation, and which is deemed necessary for the market management to take such measure.

(2) Notwithstanding [§14(1)], no quotation price limit shall apply to the issue scheduled to be delisted. (Amended on January 28, 2009; April 18, 2012)

(Wholly amended on September 12, 2008)

§23-2. Designation as Temporary Overheated Issue and Release from Designation Thereafter

(1) The Exchange may designate the issue falling under any of the following subparagraphs (limited to the stocks and DRs of foreign stocks) as a temporary overheated issue. Provided that, this provision shall not apply to an issue that has already been designated as a temporary overheated issue. (Amended on November 4, 2015; July 22, 2020)

1. An issue of which such quantities as the ratio of price increase, turnaround ratio and price volatility fall under the criteria specified in the Enforcement Rules; and

2. An issue of which price difference between the class stock and the concerned common stock falls under the criteria specified in the Enforcement Rules.

(2) Matters necessary for designation as a temporary overheated issue, prior notification about possibility of designation and release from such designation noted in paragraph (1) shall be stipulated in the Enforcement Rules.

[October 17, 2012]

§23-3. Change of Trade Execution Methods, etc. by Issue

(1) In cases where the provisional execution price determined by the quotations of stocks, DRs of foreign stocks, and collective investment securities of business development collective investment vehicle falls under any of the following subparagraphs, the Exchange may change the trade execution method of the relevant issue to the periodic call auction under [§18] or expand the quotation range participating in periodic call auctions (hereinafter referred to as "change of trade execution method, etc."). (Amended on April 29, 2015; July 10, 2019; March 4, 2026)

1. Case of rising or falling by more than the rates specified in the Enforcement Rules based on the most recent price as at the time of receipt of the relevant quotation during the trading hours of a regular session (excluding the time of deciding the opening price) and that of the off-hours sessions (limited to off-hours periodic call auction); and

2. Case of rising or falling by more than the rates specified in the Enforcement Rules based on the most recent price as at the time of receipt of the relevant quotation (limited to the price determined by the method of the periodic call auction under [§18], and referring to the base price of the day when determining the opening price) during the trading hours of a regular session.

(2) [Deleted on April 29, 2015]

(3)Matters necessary for the change of methods of trade execution etc. of issues shall be stipulated in the Enforcement Rules.

[June 18, 2014]

§23-4. Methods of Trade Execution of Low Liquidity Issues, etc.

(1) The Exchange may, in accordance with the stipulation in the Enforcement Rules, determine differently the method of trade execution of the issue of which trading is deemed significantly inactive in terms of trade frequency in the light of the criteria stipulated in the Enforcement Rules.

(2) The Exchange may, in accordance with the stipulation in the Enforcement Rules, determine differently the method of trade execution of the issue whose number of listed stocks does not meet the criteria stipulated in the Enforcement Rules. [July 22, 2020]

[November 4, 2015]

§24. Notification and Confirmation of Trade Execution

(1) The Exchange shall, when a trade has been executed, immediately notify the members of the trade details via its computer systems; and the members shall be deemed to have confirmed the details upon receipt of such notification.

(2) The Exchange shall notify the designated clearing members of the details of trades executed under the names of non-clearing members. (Amended on January 28, 2009)

(3) When the trades have been executed, the members shall prepare a statement of trade and deliver it to the customers who entrusted the trade.

(4) Matters necessary with respect to trade details, etc. under paragraphs (1) through (3) shall be stipulated in the Enforcement Rules.

§25. Trading Halt by Issue

(1) In cases where an issue falls under any of the following subparagraphs, the Exchange may halt the trading of the concerned issue. Provided that, for the issues falling under subparagraph 5-2, additional measures necessary for market management such as changing the price change limit, etc. may be taken as stipulated in the Enforcement Rules. (Amended on July 20, 2007; January 28, 2009; October 21, 2009; March 7, 2012; April 18, 2012; October 17, 2012; February 22, 2013; November 4, 2015; February 8, 2017; August 28, 2019)

1. Where there is a concern that the trading details clearly lack fairness;

2. Case of the issue for which the speedy execution of trade is deemed not possible due to the excessive influx of orders;

3. Where new electronic registration and electronic registration of change or deletion of newly electronically registered stocks are necessary due to stock split, reverse stock split, or conversion between par value stocks and non-par value stocks, etc.;

4. [Deleted on February 22, 2013]

5. Where a clearing member has failed or is likely to fail to deliver the sold securities by the settlement deadline;

5-2. Case of the issue for which the Market Oversight Committee has requested to suspend from trading thereof pursuant to [§5-3(3)] of the Market Oversight Regulation, and which is deemed necessary for the market management to take such measure; or

5-3. [Deleted on November 4, 2015]

6. Other cases where the Exchange deems it necessary for protection of investors.

(2) In cases where trading of a stock is halted or suspended pursuant to paragraph (1) and [§25-2], the Exchange may halt the trading of the subscription warrants and subscription right certificates based on the concerned issue. [October 21, 2009] (Amended on February 22, 2013; March 4, 2026)

(3) Matters necessary for the trading halt and trading resumption thereafter pursuant to paragraph (1) shall be stipulated in the Enforcement Rules. (Amended on October 21, 2009)

§25-2. Actions to be taken in Case of Computer System Failure or Influx of Excessive Quotations

The Exchange may, in the case where its computer system has failed or its computer system is expected to fail due to the influx of excessive quotations for some issues, take necessary actions, including the suspension of quotation receiving, suspension of trading, etc., or decide to use different trade execution methods in accordance with the stipulations in the Enforcement Rules.

[May 13, 2005]

§26. Temporary Suspension, etc. of the Market

(1) The Exchange may resume or conclude the trading of all issues in the Market after suspending their trading (referring to the halting of receiving quotations other than cancellation quotation; the same hereinafter) as stipulated in each of the concerned subparagraphs according to each of the relevant subparagraphs, when the value of KOSDAQ Index falls under any of the following subparagraphs. Provided that this provision shall not apply to the cases specified in the Enforcement Rules in consideration of the extent and direction, etc. of the fluctuation of the KOSDAQ index. (Amended on July 21, 2010; April 29, 2015; December 5, 2018)

1. Case of lasting for one (1) minute after declining by 8% or more than the final index of the previous trading day: Resuming the trading after 20-minute suspension;

2. Case of lasting for one (1) minute after declining by 15% or more than the final index of the previous trading day even after suspending and resuming the trading pursuant to subparagraph 1 and paragraph (2): Resuming the trading after 20-minute suspension;

3. Case of lasting for one (1) minute after declining by 20% or more than the final index of the previous trading day even after suspending and resuming trading pursuant to subparagraph 2: Concluding trading of the day immediately after suspending trading.

(2) The suspension and resumption of trading pursuant to paragraph (1), and any other matters necessary shall be stipulated in the Enforcement Rules. (Amended on April 29, 2015)

§27. Correction of Transaction Errors

Members may, when an error has occurred in the course of placing quotations or of confirming the result of the trade execution, correct the details of trade execution in accordance with the manners stipulated in the Enforcement Rules.

§27-2. Relief of Large-scale Transaction Errors

(1) The Exchange may relieve large-scale transaction errors (referring to the transactions that meet the requirements stipulated in the Enforcement Rules, among those that are recognized to have the potential to cause difficulties in settlement and disorder in the market; the same hereinafter) at the request of the concerned member, among the transactions that were executed differently from the original intent due to errors on the part of members or customers in relation with stocks, depository receipts of foreign stocks, and collective investment securities of business development collective investment vehicle that were traded by way of individual auction during the regular sessions. Provided that, this provision shall not apply to the case of sudden change of market condition, and other cases that are deemed necessary for the market management. (Amended on March 4, 2026)

(2) The method for relief of large-scale transaction errors noted in paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

[November 4, 2015]

CHAPTER III-2. [Deleted on September 11, 2013]

§27-3. ~ §27-23 [Deleted on September 11, 2013]

CHAPTER IV. [Deleted on March 4, 2025]

§28. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§28-2. [Deleted on March 4, 2025]

[December 28, 2016]

§28-3. [Deleted on March 4, 2025]

[December 28, 2016]

§28-4. [Deleted on March 4, 2025]

[December 28, 2016]

§28-5. [Deleted on March 4, 2025]

[December 28, 2016]

§28-6. [Deleted on March 4, 2025]

[December 28, 2016]

§28-7. [Deleted on March 4, 2025]

[December 28, 2016]

§28-8. [Deleted on March 4, 2025]

[July 10, 2019]

§28-9. [Deleted on March 4, 2025]

[July 10, 2019]

§29. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§29-2. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§30. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§30-2. [Deleted on March 4, 2025]

[December 28, 2011]

§31. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§31-2. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§31-3. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§31-4. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§31-5. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§31-6. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§31-7. [Deleted on March 4, 2025]

(Wholly amended on December 28, 2011)

§31-8. [Deleted on March 4, 2025]

[December 28, 2011]

§31-9. [Deleted on March 4, 2025]

[December 28, 2011]

31-10. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§31-11. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§32. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§32-2. [Deleted on March 4, 2025]

(Wholly amended on January 28, 2009)

§32-3. [Deleted on December 28, 2011]

CHAPTER V. RECEIVING TRADE ENTRUSTMENT

§33. Opening of Accounts, etc.

(1) When intending to process an order (referring to the intension of bid or offer expressed by the customer for transaction; the same hereinafter) for an issue entrusted by a customer, each member shall have the customer to open an account for securities transaction. Provided that, in cases where the customer has already opened the securities trading account or securities savings account, the trading may be conducted using such account. (Amended on January 28, 2009)

(2) When a customer intends to open a securities trading account, the member shall verify the facts stipulated in the Enforcement Rules and shall keep the written records of such facts. (Amended on July 7, 2006)

(3) In the case of unavoidable circumstances such as the case where a customer requests to

open a securities trading account just to dispose the securities owned, the member may open a joint securities trading account. (Amended on January 28, 2009)

(4) Each member shall, when intending to open a trading account mentioned in paragraph (1), enter into an agreement for opening a trading account with a customer, which stipulates each of the following details:

1. Details stating that a trading account is opened by the member and customer for the purpose of trading in the Market established by the Exchange; and

2. Details stating that the concerned customer endorses the standard contract relating to the trade entrustment in the Market (hereinafter referred to as the "standard contract").

§34. Matters to be stated in Standard Contracts

(1) Each member shall set a standard contract that spells out each of the following matters: (Amended on January 28, 2009; February 22, 2013; September 11, 2013; November 4, 2015; December 7, 2022)

1. Matters stating that, when trading in the Market, the member and customer shall comply with the relevant laws, decrees, regulations governing businesses of the Exchange and other measures of the Exchange;

2. Matters relating to the priorities in submitting the quotations for the entrustment of orders received prior to the opening of quotation receiving hours;

3. Matters relating to the members' refusal to receive an entrustment of order or any restriction that the member may impose on order entrustment:

4. Matters relating to the collection of good faith deposit;

4-2. [Deleted on September 11, 2013];

5. Matters relating to the prohibition of discretionary trading by the member;

6. Matters relating to the measures to be taken in the case of non-fulfillment of settlement obligation;

7. Matters relating to the collection of brokerage commissions;

7-2. Matters relating to the relief of large-scale transaction errors;

8. Matters in the following items if a customer is a person who are required to register as a high-speed algorithmic trader pursuant to [§50-3]; and

(a) Matters related to registration obligation; and
(b) Matters specified by the Enforcement Rules to manage high-speed algorithmic trading including rejection of order receipt, etc.

9.Other matters, which do not contradict the relevant laws and regulations, that the member deems necessary.

(2) Each member shall, when entering into an agreement for opening a trading account with its customer, explain the material terms and conditions of the standard contract to the customer and deliver a copy of the concerned standard contract to the customer, if requested.

(3) When a member establishes or amends its standard contract, the member shall notify the Exchange of such fact within the period set in the Enforcement Rules. Provided that this provision shall not apply to the case where the member uses the standard contract form that was established by the Korea Financial Investment Association pursuant to Paragraph (3) of Article 56 of the Act. (Amended on December 28, 2016)

§35. Opening of Treasury Stock Trading Accounts, etc.

(1) When a member intends to execute a trade of treasury stocks under Article 165-3 of the Act upon receiving an order from a listed corporation, such member shall open a separate account for treasury stock trading with the concerned listed corporation (hereinafter referred to as "treasury stock trading account") in advance. (Amended on January 28, 2009; December 7, 2022)

(2) No member shall use the treasury stocks trading account under paragraph (1) except for the trade entrustment other than the treasury stocks. (Amended on January 28, 2009)

§36. Opening, etc. of Treasury Stock Trust Trading Accounts

(1) When a member intends to place a quotation upon receiving an entrustment of order that falls under the trading of treasury stocks from a trust business entity that has acquired the treasury stocks in accordance with the money trust contract pursuant to Article 165-3(1)2 of the Act, such member shall open a separate account for each fund of trust assets (hereinafter referred to as the "treasury stock trust trading account") with the trust business entity. (Amended on January 28, 2009; December 11, 2013)

(2) No member shall use the treasury stock trust trading account under paragraph (1) for receiving the trade entrustment for the issues other than the treasury stocks of the relevant listed corporation that has entered into a money trust contract with the trust business entity. (Amended on January 28, 2009)

(3) In applying the provisions of paragraph (2), when a member intends to process a trade entrustment for the issues other than the treasury stocks that are in the treasury stock trust trading account as a result of split-off of the concerned listed corporation, such trade shall be managed using a separate account other than the treasury stock trust trading account. (Amended on January 28, 2009)

§37. Restriction on Serving as Proxy

The officer or employee of a member who enters into a service agreement for opening a trading account with a customer pursuant to [§33(4)] shall be prohibited from becoming the proxy for the concerned customer.

§38. Information to be recorded When Receiving Entrustment of Orders

When receiving an entrustment of order from a customer, the member shall prepare an order slip recording the information stipulated in the Enforcement Rules.

§39. Methods of Receiving Trade Entrustment

(1) Each member may receive trade entrustments from customers using the method noted in any of the following subparagraphs: (Amended on July 6, 2011)

1. Orders placed in writing;

2. Orders placed via telephone, telegram, facsimile, electronic mailing system and other similar method (hereinafter referred to as "over the telephone, etc."); and

3. Orders placed using a computer or similar electronic communication means (hereinafter referred to as "via electronic communication means.")

(2) In the case of receiving an order placed via electronic communication means, each member shall ensure that the order is routed through the security device specified in the Guidelines on Connection, etc. to Member System noted in [§7-3(1)]. Provided that this provision shall not apply to the case specified in the Enforcement Rules, as it is deemed that there is no concern about damaging the transaction safety in the course of receiving and processing the order. [July 6, 2011]

(3) Each member shall, when accepting a trade entrustment from a customer, be notified whether or not the ask order of the concerned issue is for covered short sale and verify such fact. (Amended on January 28, 2009)

(4) When a trade is executed with a customer's order, the member shall notify the concerned customer of the details of the trade, including the issue name, executed date, executed quantity and price, etc. without delay via any of following means. Provided that, if the customer has agreed in advance, the trade details can be notified collectively after the market close of the day, and when a regular session auction-based block trade pursuant to [§19-3] and off-hour auction-based block trade noted in [§21-2] has been executed, the member shall notify the execution price, which the Exchange notifies after the market closing, to the concerned customer without delay: (Amended on July 21, 2010; February 8, 2017)

1. Telephone, telegram or facsimile;
2. Computers or other similar electronic communication methods; and
3. Postal services, distribution of trade reports, etc.

(5) The matters necessary for the entrustment methods noted in each subparagraph of paragraph (1) shall be stipulated in the Enforcement Rules. [July 6, 2011]

§39-2. Publication and Explanation of Order Placing Method, etc.

(1) Each member shall spell out the matters concerning the order entrustment and processing methods and the conditions and fees of use thereafter (hereinafter referred to as the "order placing method, etc."). In such cases, the member shall not restrict the usage condition without justifiable reasons or levy the differential fee between customers.

(2) In the case of establishing new order placing method, etc. noted in paragraph (1) or amending the existing ones, the members shall make public such fact in advance.

(3) When entering into an agreement for opening a trading account with a customer, each member shall explain the order placing method, etc. noted in paragraph (1) to the customer and assist the customer to choose an appropriate order placing method.

(4) The details of order placing method, etc. under paragraphs (1) and (2) and the matters necessary for the publication thereof shall be stipulated in the Enforcement Rules.

[July 6, 2011]

§40. Refusal of Trade Entrustment

(1) When falling under any of the following cases, each member shall refuse to receive the trade entrustment. In such cases, the member shall record the reasons for refusal on the order slip and notify the concerned customer of such fact: (Amended on January 28, 2009; June 8, 2016)

1. Case where the member has recognized that the trade entrustment violates or may violate Articles 172, 174, 176, 178 and 178-2 of the Act; and

2. In addition to the cases mentioned in subparagraph 1, the cases where it is deemed necessary for the protection of investors and public interests or for the maintenance of order in the Market.

(2) [Deleted on August 28, 2019]

(3) Members shall refuse to accept the entrustment of orders that are in violation of the provisions of [§9-2] and [§9-3]. (Amended on May 13, 2005; January 28, 2009; February 22, 2013; September 11, 2013)

(4) [Deleted on September 11, 2013]

(5) A member shall refuse to receive customer's orders for high-speed algorithmic trading in any or the following cases with regard to the submission of customer's orders for high-speed

algorithmic trading:

1. In the case of receiving orders for high-speed algorithmi8c trading from a customer who has not registered pursuant to [§50-3] or whose registration has been cancelled; and

2. In the case of falling under any of the subparagraphs of [§50-3(5)]. [December 7, 2022]

§41. Processing of Order Entrustment

(1) Each member shall, when it has received an entrustment of orders from its customers, process such orders according to the manners stipulated in the Enforcement Rules.

(2) Each member shall not, when it has received an entrustment of orders from its customers, process any trade using the account, which is directly or indirectly related to its own interest, prior to the processing of the concerned entrusted orders.

(3) Members shall be prohibited from conducting a trade using the customer's account without receiving a trade entrustment.

(4) Each member shall, when receiving an entrustment of orders from customers, make its best efforts in protecting the investors and executing its responsibilities with due care and diligence, which is required of a good manager. In cases where there exists any indication or incidents of suspicious trading, such as drastic changes in stock price, trading volume, etc., and it is deemed necessary for the investor protection, the members shall notify its customers of the investment risks and take other necessary actions in accordance with the stipulations in the Enforcement Rules.

(5) Members shall not conduct any action that hinders the rational investment decisions of customers, including the investment advices that have not taken into consideration the investment purposes, sizes of transaction, experiences of customers, and the provision of unfounded investment information.

§42. Good Faith Deposits

(1) A member may, when receiving entrustments of orders from its customers, collect the good faith deposit in cash or substitute securities for buying and in cash, securities to be sold or substitute securities for selling. (Amended on December 28, 2016)

(2) Members shall establish the rates and collection methods of the good faith deposit stipulated in paragraph (1) (including the collection rates of substitute securities; hereinafter referred to as the "guidelines for collection of good faith deposit"). (Amended on December 28, 2016)

(3) When a member has established or amended the guidelines for collection of good faith deposit pursuant to paragraph (2), the member shall notify the fact thereof to the Exchange within the period stipulated in the Enforcement Rules.

(4) Notwithstanding the provisions of paragraphs (1) through (3), in cases where it is found

necessary for the market management due to the occurrence of natural disaster, warfare, upheaval, sudden and significant change in the economic conditions or other incidents similar thereto, or where the settlement cannot be concluded normally, the Exchange may determine the minimum collection rate of good faith deposit for a fixed period of time for each issue or for each bid or offer.

(5) Notwithstanding paragraph (2), a member shall, when receiving orders from a customer who has failed to pay the purchase amount or deliver the sold securities by the settlement deadline {including the customer who has failed to pay the purchase amount in the KOSPI Market and KONEX Market, and the customer registered with the centralized credit information collection agency prescribed in Article 25(2)1 of the Credit Information Use and Protection Act (hereinafter referred to as the "Centralized Credit Information Collection Agency") because it has failed pay the purchase amount to other members; the same hereinafter)}, collect as a good faith deposit the full purchase amount (notwithstanding the provisions of paragraph (1), in cash only) in the case of buying, and the entire selling securities in the case of selling for the period noted in each of the following subparagraphs: (Amended on January 19, 2007; April 27, 2007; January 28, 2009; September 11, 2013; June 8, 2016; December 28, 2016; December 5, 2018)

1. In the case of a customer who has not settled the purchase amount by the settlement deadline after the execution of bid order, for thirty (30) days from the trading day following the settlement deadline (in the case of a customer who has not paid the purchase amount to another member, the day the customer was registered with the centralized credit information collection agency); and

2. In the case of a customer who has not delivered the sold securities by the settlement deadline after the execution of offer order, for one hundred and twenty (120) days from the trading day following the settlement deadline (in the case of a customer who has not delivered the sold securities to another member, the day the customer was registered with the centralized credit information collection agency).

(6) Paragraph (5) shall not apply to the case falling under to each of the following subparagraphs. In such cases, the member shall keep the records of the relevant facts. (Amended on January 19, 2007; January 28, 2009; April 21, 2010; December 11, 2013)

1. Case where the purchase amount that the customer has not paid by the settlement day (in cases where an amount such as the interest and tax that are not related to the concerned trade has been withdrawn since the submission of the bid order, it may be the amount that excludes such amount) is less than KRW 100,000; and

2. Because of the natural disaster, emergency, computer failure, member's error or due to the case where it is acknowledged that the customer has committed no intentional or wrongdoing, the case (except for cases stipulated in the Enforcement Rules) where the customer has failed to deliver the purchase amount or sold securities by the settlement day.

(7) Notwithstanding paragraph (5), the good faith deposit may not be collected in the case falling under any of the following subparagraphs: (Amended on January 19, 2007; January 28, 2009; August 28, 2019)

1. Case where an offer order placed by a customer, who has cleared up the unsettled amount, has been executed, and an entrustment of bid order is received from the relevant customer with the quantity less than the relevant sold quantity;

2. Case of receiving an entrustment of offer order for a security, for which the bid order has been executed or the member can confirm about electronic registration in the customer account under Article 22(2) of the Act on Electronic Registration of Stocks and Bonds (hereinafter referred to as “the Electronic Securities Act”) by the settlement deadline, within the quantity less than the relevant purchased quantity; and (Amended on February 5, 2025)

3. Case of receiving a trade entrustment from the customer who intends to settle the trade with the loan or securities borrowed from the member.

(8) Notwithstanding paragraph (2), when receiving an entrustment of ask order from a customer that falls under any of the following subparagraphs, the member shall collect the total amount of the securities to be sold as good faith deposit. In such cases, in the case of the customer noted in subparagraph 1, paragraphs (7)2 and (7)3 shall apply *mutatis mutandis* thereto, and in the case of the customer noted in subparagraph 3, total amount of the securities to be sold shall be collected as good faith deposit only for the period notified from the trading day after the notification date. (Amended on December 28, 2011; September 19, 2012)

1. Customer who intends to sell an issue with fewer than 50,000 of total issued shares;

2. In the case where the Exchange purchases stocks, etc. in accordance with [§22] of the Securities Market Clearing and Settlement Business Regulations, the customer who intends to sell the relevant stocks to the Exchange. and (Amended on February 5, 2025)

3. Customer who the Exchange or other member notifies as the customer subject to verification of advance deposit of sold securities pursuant to [§9-4(3) & (4)].

(9) Notwithstanding paragraph (2), when receiving an entrustment of bid order for the issues of investment warning or issues of investment risk pursuant to [§5-3] of the Market Oversight Regulation, the member shall collect the total purchase amount (notwithstanding the provisions of paragraph (1), in cash only) as good faith deposit. Provided that, as a case where the offer order of the customer has been executed, when receiving an entrustment of bid order within the matching amount of the offer order (in cases where the customer has an amount due to the member, the amount after subtracting that due amount), the good faith deposit may not be collected. [July 20, 2007] (Amended on March 7, 2012)

(10) When collecting the good faith deposit pursuant to paragraph (1), members shall manage the good faith deposits separately from their own assets and shall not use the good faith deposits as member margins. [December 28, 2016]

§42-2. [Deleted on September 11, 2013]

§43. Types, etc. of Substitute Securities

(1) [Deleted on December 28, 2016]

(2) Substitute securities shall be the securities falling under any of the following subparagraphs: (Amended on May 13, 2005; October 12, 2007; January 28, 2009; October 21, 2009; February 22, 2013; September 11, 2013; December 28, 2016)

1. The securities and DRs of foreign stocks that are listed on the Market. Provided that, the issues stipulated in the Enforcement Rules shall be excluded;

2. The securities designated as the substitute securities pursuant to the KOSPI Market Business Regulation and KONEX Market Business Regulation;

3. The collective investment securities of business development collective investment vehicle listed on the market. Provided that an issue specified in the Enforcement Rules shall be excluded; and [March 4, 2026]

4. In addition to paragraph (1), the securities stipulated in the Enforcement Rules.

(3) The methods and timing of calculating substitution price of substitute securities, appraisal ratios of substitute securities and other necessary matters shall be governed by [§34] of the Securities Market Clearing and Settlement Business Regulations. (Amended on May 13, 2005; January 28, 2009; February 5, 2025)

§44. Recording and Maintenance of Trade Details

(1) Members shall record in the customer's trading accounts the details of trade, such as the good faith deposit, purchasing amount and the income, deposits, refunds, delivery, payments, etc. of the sold securities, etc.

(2) In the case of having submitted quotations in accordance with the provisions of the proviso to [§9(1)], the member shall record the details of order, trade execution and distribution, etc. and maintain such records. (Amended on February 22, 2013; September 11, 2013)

(Wholly amended on July 20, 2007)

§45. Settlement between Members and Customers

(1) In cases where a member and its customer accept the reciprocal obligations for the payments or assume the reciprocal obligations for the stocks of same issue on the same day, the settlement shall be accomplished by netting the payments and the shares of same issues. Provided that, if the member and customer have made a different arrangement, such agreement may be respected. (Amended on December 28, 2011)

(2) The settlement deadline between a member and its customer shall the hour of the settlement day that the member determines (hereinafter referred to as "the settlement time"). In such cases, if the member changes the settlement time, such member shall notify the Exchange of the change before putting it into practice. (Amended on January 28, 2009)

(3) Members shall settle the trade upon receiving the sold securities or the purchase money

from its customers by the settlement time specified in paragraph (2). In such cases, when the good faith deposit relating to the concerned settlement is available, such customer margin may be appropriated as the sold securities or purchase money. (Amended on January 28, 2009; October 21, 2009; December 28, 2011)

(4) In cases where the sold securities mentioned in paragraph (3) are new stock certificates, the old stock certificates may be substituted with the sold securities. (Amended on January 28, 2009; October 21, 2009)

(5) When sold securities are delivered by a customer who is a professional investor noted in Article 9(5) of the Act (hereinafter referred to as the "institutional customer") or purchased securities are transferred to such institutional customer, members shall settle the trade by way of electronic registration of transfer between accounts under Article 25(4) of the Enforcement Decree of the Electronic Securities Act. (Amended on January 28, 2009; October 21, 2009; December 28, 2011; August 28, 2019)

§46. Delivery of Registered Investment Securities, etc.

In cases where a member receives the registered investment securities, beneficiary certificates or bonds from its customers, such securities, certificates and bonds shall have been divided into each trading quantity unit determined by the Exchange and accompanied by the documents necessary for the title transfer.

§47. Handling of Deferred Settlement

In cases where the member has received the deferred settlement payment instead of purchased security because the settlement between the Exchange and clearing member was deferred pursuant to [§19] of the Securities Market Clearing and Settlement Business Regulations, the transfer of concerned purchased security to the customer may be postponed. (Amended on February 5, 2025)

(Wholly amended on December 28, 2011)

§48. Measures to Be Taken in Case of Settlement Failure by Customers

(1) In cases where a customer has failed to deliver the purchase amount or sold securities by the settlement deadline, the member shall settle the concerned trade with its own cash or identical securities. In cases where there is any unsettled amount remained after such settlement, the member may supplement the shortage by disposing the concerned purchased securities, sales proceeds or the cash and securities that the member holds for the concerned customer at its discretion. (Amended on January 28, 2009)

(2) In cases where the customer has failed to deliver the sold securities by the settlement deadline, the member may collect the amount equivalent to the deferred settlement payment. [December 28, 2011]

(3) A member may, when a customer has accumulated an overdue balance, including non-

delivery of sold securities or purchase amount, collect the delay charge (in cases where, with regard to non-delivery, there is the settlement delay loss that the member pays to the Exchange, the amount equivalent to that settlement delay loss shall be included). (Amended on December 28, 2011)

§49. Brokerage Commission Fees

(1) The members may, when a trade has been executed upon receiving an entrustment of bid or offer order from its customer, collect a brokerage commission fee from the concerned customer at the time of the settlement in accordance with the manner determined by the member.

(2) When a member establishes or modifies its brokerage commission rate or the collection method (hereinafter referred to as the "guidelines for collection of commission fees") pursuant to paragraph (1), such member shall notify the Exchange of such fact within the period stipulated in the Enforcement Rules.

(3) Members shall make public the guidelines for collection of commission fees in paragraph (2) to inform the customers in advance.

CHAPTER VI. MARKET MANAGEMENT

§50. Publication of Market Prices, etc.

(1) Pursuant to Article 364(2) of the Enforcement Decree of the Act, the Exchange shall make public the market price, etc., which falls under each of the following subparagraphs: (Amended on January 28, 2009)

1. Current prices, opening prices, the highest prices, the lowest prices and closing prices;

2. Trading volume and value;

3. Closing price of the previous day or base prices;

4. Ex-dividends, ex-rights, ex-distribution or ex-interests; and

5. Additionally, matters that are stipulated in the Enforcement Rules, including the expected matching price during the quotation receiving hours for call auction, expected best bid and offer prices, the quotation information (including best bid and offer prices) during the quotation receiving hours for continuous auctions, etc. (Amended on February 5, 2025)

(2) The Exchange may make public the information that is useful for making investment decisions for the protection of investors.

(3) The Exchange shall efficiently manage the market information which is generated in relation to or derived from the transaction data in the Market through use of its computer systems, etc., and provide such information through the electronic communication facilities, etc. to its members and other users who wish to use such information after entering into an agreement on use of market information.

(4) The methods of making public the market prices and information useful for making investment decisions pursuant to paragraphs (1) and (2) and other necessary matters shall be stipulated in the Enforcement Rules.

§50-2. Management of Algorithmic Trades

(1) A member shall identify and manage the risks that may arise in conducting algorithmic trading. (Amended on December 7, 2022).

(2) Members shall report to the Exchange without delay in cases where accounts that perform the algorithmic trading are opened, changed or closed.

(3) In cases where an emergency situation occurs due to a system failure or error related to algorithmic trading, a member may apply for the measures (hereinafter referred to as the "quotation handling by account") falling under each of the following subparagraphs with respect to each algorithmic trading account (referring to the account of which opening and changes were reported pursuant to paragraph (2); the same hereinafter) to the Exchange. Provided that this provision shall not apply to the block trades, basket trades, or auction-based block trades.

1. To cancel the quotations altogether at once; and
2. Not to receive additional quotations.

(4) The method of reporting of algorithmic trading accounts pursuant to paragraph (2), the method of applying for and release of quotation handling by account pursuant to paragraph (3) and other necessary matters shall be stipulated in the Enforcement Rules.

[November 4, 2015]

§50-3. Management of Algorithmic Trader, etc.

(1) Before receiving orders for high-speed algorithmic trading from a customer, a member shall register the relevant customer as a high-speed algorithmic trader in the Exchange as stipulated by the Enforcement Rules. In this case, the member shall confirm whether the customer meets all of the following requirements before applying for the registration:

1. The computer system including the ordering system, etc. used by the customer shall have stability and appropriateness suitable for conducting high-speed algorithmic trading;

2. The customer shall have sufficient knowledge and experience necessary for conducting high-speed algorithmic trading; and

3. In addition, the customer shall meet the requirements specified by the Enforcement Rules as deemed necessary by the Exchange to manage high-speed algorithmic trading.

(2) A member who intends to engage in high-speed algorithmic trading shall report to the Exchange as a high-speed algorithmic trader in advance.

(3) In the case of opening, changing, or closing of a customer's or a member's own account that carries out the high-speed algorithmic trading (hereinafter referred to as the "high-speed algorithmic trading account), the member shall report the relevant details to the Exchange without delay.

(4) A member shall submit quotations for high-speed algorithmic trading only through a high-speed algorithmic trading account reported pursuant to paragraph (3).

(5) In the case where a member's customer falls under any of following subparagraphs, the member shall take measures (hereinafter referred to as the "high-speed algorithmic trading order suspension"), such as refusing to receive orders for high-speed trading submitted by the customer, closing entire high-speed algorithmic trading accounts opened for the relevant customer, etc. In such case, the relevant fact and reason shall be notified to the Exchange without delay:

1. In the case where a member recognizes that the customer fails to meet the requirements of each subparagraph of paragraph (1);

2. In the case where a member discovers that a customer has falsely written or intentionally omitted important matters when registering through the member: or

3. Other cases where the Enforcement Rules stipulates that it is necessary to suspend receiving orders for high-speed algorithmic trading.

(6) In the case where the Exchange deems inappropriate for a member's customer who is a high-speed algorithmic trader to conduct high-speed algorithmic trading for public interest, investor protection, the stability of trading order, etc., it may cancel the registration of the relevant customer. In such case, the member shall not apply for registration under paragraph (1) within six (6) months from the date of cancellation of the registration.

(7) Registration or reporting of high-speed algorithmic traders, methods and procedures for the cancellation of registration, and other necessary matters shall be specified in the Enforcement Rules.

[December 7, 2022]

§50-4. Member's Obligation to Manage Algorithmic Trading, etc.

(1) A member shall conduct inspection of a customer's electronic systems including ordering system and risk management as stipulated in the Enforcement Rules for the management of high-speed algorithmic trading of the customer.

(2) The Exchange may request members to submit the relevant information for the purpose of checking whether the members’ obligation in paragraph (1) is satisfied and managing the market.

[December 7, 2022]

§51. Actions for Ex-dividends, etc.

The action date for ex-dividends, ex-rights, etc. related to the transactions of issues shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009)

§52. Continual Monitoring of Market Conditions, etc.

To ensure the timeliness, appropriateness, etc. of the market measures taken pursuant to this Regulation, the Exchange shall continually monitor and analyze the conditions of the Market.

(Wholly amended on July 20, 2007)

§52-2. [Deleted on July 6, 2011]

§53. Deposits Prior to Placing Quotations

When it is deemed necessary for the market management, the Exchange may separately specify the issues, members or types of accounts, and have its members to make deposits of all or a part of the securities concerned in the case of sale, and entire amount or a part of the purchase money in the case of purchase before placing a quotation. In such cases, no member shall place bid or offer quotations for such issues unless the concerned deposit has been made.

§54. Payment before Settlement

When it is deemed necessary for the market management, the Exchange may specifically specify the issues, members or types of accounts, and have its members to prepay all or a part of the purchase money or the sold securities, by specific time before the settlement deadline.

CHAPTER VII. SUPPLEMENTARY PROVISIONS

§55. Maintenance Period of Records Relating to Trade

The Exchange shall maintain the information relating to trade for each of the periods specified in the following subparagraphs: (Amended on February 22, 2013; September 11, 2013)

1. Quotation details inputted pursuant to [§9]: 10 years;
2. Trading details pursuant to [§24]: 10 years.
3. Documents related to the correction of transaction errors pursuant to [§27]: 10 years

§55-2. Public Opinion Gathering

In case this Regulation (including its Enforcement Rules) is to be amended, public opinion of interested parties should be gathered pursuant to the Enforcement Rules.

[April 29, 2020]

§56. Enforcement Rules

Matters necessary for the enforcement of this Regulation shall be stipulated in the Enforcement Rules.

ADDENDA

(January 21, 2005)

§1. Effective Date

This Regulation shall become effective on the day when the Exchange is incorporated. Provided that, the provisions of [§17(3)] and [§18] shall become effective on the date specified in the Enforcement Rules.

§2. Abolition of Previous Regulation and Interim Measures Thereafter

From the effective date of this Regulation, the Regulation on KOSDAQ Market Business of the KSDA shall be abolished. Provided that the Regulation on KOSDAQ Market Business of the KSDA shall apply to the periodic call auction until the effective date pursuant to the proviso of paragraph (1).

§3. Interim Measures for Trading, etc.

The trade execution, trade suspension and trade settlement conducted pursuant to the KOSDAQ Market Business Regulation shall be deemed to have been conducted pursuant to this Regulation.

§4. Interim Measures for Opening Trading Accounts, etc.

The opening of trading account, etc., notification of the guidelines for collection of customer margin, etc., designation of substitute securities and calculation of substitute price, etc. that were conducted pursuant to the KOSDAQ Market Business Regulation shall be deemed to have been done pursuant to this Regulation.

§5. Interim Measures for Agreement on Use of Market Data

The agreement on use of market data that was entered pursuant to the KOSDAQ Market Business Regulation shall be deemed to have been entered into pursuant to this Regulation.

§6. Application of the Regulations to Stocks and Beneficiary Certificates Issued by Investment Companies

In applying this Regulation, the stocks and beneficiary certificates issued by the investment companies pursuant to the abolished Investment Company Act and the Securities Investment Trust Business Act shall be construed as those issued pursuant to the Act on Business of Operating Indirect Investment Assets.

§7. Interim Measures for Surveillance Issues

The surveillance issues that were designated pursuant to the KOSDAQ Market Business Regulation shall be deemed as the abnormally rising issues designated pursuant to this Regulation.

ADDENDUM
(March 25, 2005)

This Regulation shall become effective on March 28, 2005.

ADDENDUM
(May 13, 2005)

This Regulation shall become effective on May 30, 2005. Provided that, the provisions of [§2(6)5], [§7-2], [§9] through [§9-3] and [§43] shall become effective on the date specified in the Enforcement Rules.

ADDENDA
(Futures Market Business Regulation)
(October 14, 2005)

§1. Effective Date

This Regulation shall become effective on November 7, 2005.

§2.~ §5. [Omitted]

§6. Amendment of Other Regulations

The KOSDAQ Market Business Regulation shall be amended as follows:
"[§16] of the Futures Market Business Regulation" in [§13(1)*m*] shall be deemed to be "[§213] of the Futures Market Business Regulation".

ADDENDUM
(November 25, 2005)

This Regulation shall become effective on the date stipulated in the Enforcement Rules.

ADDENDUM
(July 7, 2006)

This Regulation shall become effective on July 10, 2006.

ADDENDUM
(September 8, 2005)

This Regulation shall become effective on October 30, 2006.

ADDENDA
(January 19, 2007)

§1. Effective Date

This Regulation shall become effective on May 1, 2007.

§2. Exception in Application of Provisions Relating to Collection of good faith deposit

The application of amended provision of [§42] shall begin with the trade entrustment received from the customer who has an accrued receivable as of the effective date of this Regulation.

ADDENDUM
(April 27, 2007)

This Regulation shall become effective on May 1, 2007.

ADDENDUM
(July 6, 2007)

This Regulation shall become effective on September 17, 2007.

ADDENDUM
(July 20, 2007)

This Regulation shall become effective on September 3, 2007. Provided that, the amended provisions of [§9] and [§44] shall become effective on September 17, 2007.

ADDENDA
(October 12, 2007)

§1. Effective Date

This Regulation shall become effective on October 22, 2007. Provided that, the amended provisions of [§8], [§9-3(4)], [§10(3)], [§12-2] through [§12-6] and [§16] shall become effective on January 14, 2008.

§2. Amendment of Other Regulation

The KOSDAQ Market Disclosure Regulation shall be amended as follows:

The following new paragraph (12) shall be added to [§17] of the KOSDAQ Market Disclosure Regulation:

12. Cases of entering into, terminating or amending the agreement on liquidity provision pursuant to [§12-3(2)] of the KOSDAQ Market Business Regulation.

ADDENDUM

(September 12, 2008)

This Regulation shall become effective on April 6, 2009. (Amended on March 4, 2009)

ADDENDUM

(September 30, 2008)

This Regulation shall become effective on October 1, 2008.

ADDENDA

(January 28, 2009)

§1. Effective Date

This Regulation shall become effective on February 4, 2009. Provided that, the amended provisions of [§9-3(2)1-2, 3, 5, 6, & 7] and Chapter IV, excluding [§31-4 and §31-9], shall become effective on the date stipulated in the Enforcement Rules; the amended provisions of [§23] shall be effective on April 6, 2009 and the amended provisions of [§31-4 and §31-9] shall be effective on May 4, 2009. (Amended on March 4, 2009)

§2. Application of Provision Concerning the Covered Short Sale

The amended provision of [§9-2(4)] shall apply starting with the first covered short sale after the restriction on covered short sale imposed according to the former provision of [§9-2(4)2] has been terminated pursuant to the former Regulation as of the effective date of this Regulation.

§3. Interim Measure Concerning Special Case of Bid Quotation for Buyback of Treasury Stocks

As of the effective date of this Regulation, the special case of having obtained the approval of Chairman of the Financial Services Commission pursuant to [§11] of the former Regulation shall be deemed as the case of having obtained the approval of the Financial Services Commission pursuant to [§11] of this Regulation

ADDENDUM

(March 4, 2009)

This Regulation shall become effective on March 16, 2009.

ADDENDUM

(July 1, 2009)

This Regulation shall become effective on July 6, 2009.

ADDENDUM
(October 21, 2009)

This Regulation shall become effective on the day when the amendment (No. 2009-151) of the Enforcement Decree of the Financial Investment Services and Capital Markets Act is made public.

ADDENDUM
(December 29, 2009)

This Regulation shall become effective on December 31, 2009. Provided that the amended provisions of [§2(16)] shall be put into effect on January 18, 2010.

ADDENDUM
(April 21, 2010)

This Regulation shall become effective on July 5, 2010.

ADDENDUM
(July 21, 2010)

This Regulation shall become effective on November 29, 2010.

ADDENDUM
(December 1, 2010)

This Regulation shall become effective on May 30, 2011.

ADDENDUM
(January 26, 2011)

This Regulation shall become effective on May 30, 2011.

ADDENDUM
(March 2, 2011)

This Regulation shall become effective on March 7, 2011. Provided that the amended provisions of [§12-5(1)] shall be put into effect on May 30, 2011 and the amended provisions of [§4(1)] shall be put into effect on the date set by the Enforcement Rules.

ADDENDUM
(July 6, 2011)

This Regulation shall become effective on July 25, 2011. Provided that the amended provisions of [§7-3, §9(7), §39, §39-2 and §52-2] shall be put into effect on the date set by the Enforcement Rules.

ADDENDUM
(December 28, 2011)

This Regulation shall become effective on January 16, 2012.

ADDENDUM
(March 7, 2012)

This Regulation shall become effective on March 12, 2012.

ADDENDUM
(April 18, 2012)

This Regulation shall become effective on April 23, 2012. Provided that the amended provisions of [§23] shall become effective on July 23, 2012.

ADDENDUM
(September 19, 2012)

This Regulation shall become effective on October 30, 2012.

ADDENDUM
(October 17, 2012)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.

ADDENDA
(February 22, 2013)

§1. Effective Date

This Regulation shall become effective on the date set by the Enforcement Rules.

§2. [Deleted on September 11, 2013]

ADDENDA
(September 11, 2013)

§1. Effective Date

This Regulation shall become effective on September 17, 2013.

§2. Exception to Application of Temporary Suspension of Market

Until the date specified in the Enforcement rules, the provisions of [§26] of the KOSDAQ Market Business Regulation shall apply to the KONEX Market.

§3. Interim Measure for Trading, etc. in KONEX Market

Trading conducted in the KONEX Market and reporting, request and other actions taken against the Exchange in relation to the KONEX Market as of the effective date of this Regulation shall deem to have been taken pursuant to this Regulation.

§4. Amendment of Other Provisions

(1) Provisions of [§4(6)2 & (16); §4(2), (3)1 & (3)2b; §40(3); §42(5), §44(2) and §55] of the KOSDAQ Market Business Regulation shall be amended (see the main text of this Regulation). Provisions of [§2(17), (18) & (20); §4(1-2); §34(1)4-2, §40(4) and §42-2], Chapter III-II [§27-2 through §27-23] and [§2] of Addenda dated February 22, 2013 shall be deleted.

(2) "KOSDAQ Market" noted in [§89(1)] of the KOSPI Market Business Regulation shall be amended as "KOSDAQ Market and KONEX Market".

(3) Provisions of [§128/2-2] of the Derivatives Market Business Regulation shall be "The securities designated as a substituted securities pursuant to the KONEX Market Business Regulation".

ADDENDUM
(December 11, 2013)

This Regulation shall become effective on January 2, 2014.

ADDENDUM
(June 18, 2014)

This Regulation shall become effective on June 30, 2014. Provided that the amended provisions of [§4(3)1 & 2(b)], [§18(1)5], [§19-4], [§21-3(1)], [§21-4] and [§23-3] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.

ADDENDUM
(October 1, 2014)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.

ADDENDUM
(November 26, 2014)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.

ADDENDUM
(February 11, 2015)

This Regulation shall become effective on February 26, 2015.

ADDENDUM
(April 29, 2015)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.

ADDENDUM
(October 21, 2015)

This Regulation shall become effective on November 16, 2015.

ADDENDUM
(November 4, 2015)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.

ADDENDUM
(June 8, 2016)

This Regulation shall become effective on June 30, 2016.Provided that the amended provisions of [§4(3)] shall become effective on August 1, 2016.

ADDENDUM
(December 28, 2016)

This Regulation shall become effective on January 2, 2017. Provided that the amended provisions of [§28-2]through[§30], [§32] and[§42]through[§43] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer systems, etc.

ADDENDUM
(February 8, 2017)

This Regulation shall become effective on February 9, 2017. Provided that the amended provisions of [§9-2],[§9-4], [§23] and[§25] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer systems, etc.

ADDENDUM
(April 4, 2018)

This Regulation shall become effective on April 9, 2018.

ADDENDUM
(December 5, 2018)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer systems, etc.

ADDENDUM
(April 3, 2019)

This Regulation shall become effective on April 29, 2019.

ADDENDUM
(July10, 2019)

This Regulation shall become effective on July 15, 2019. Provided that the amended provisions of [§13],[§28-3], [§28-8],[§28-9] and[§32] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDUM
(August 28, 2019)

This Regulation shall become effective on September 16, 2019.

ADDENDUM
(April 29, 2020)

This Regulation shall become effective on May 8, 2020.

ADDENDUM
(July 22, 2020)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.

ADDENDUM
(March 8, 2021)

This Regulation shall become effective on March 8, 2021. Provided that, the amended provision of [§9-2(6)2] shall become effective on April 6, 2021.

ADDENDA
(KOSDAQ Market Listing Regulation / August 25, 2021)

§1. Effective Date

This Regulation shall become effective from the date specified in the Enforcement Rules.

§2. through §9. [Omitted]

§10. Amendment of Other Regulation

(1) [Omitted]

(2) A part of the KOSDAQ Market Business Regulation is amended as follows.

Of [§2(19)], "DRs of foreign stocks pursuant to [§2(26)]" shall be "DRs of foreign stocks pursuant to [§2(1)30]".

Of [§18(1)4], "[§29(2)] of the Listing Regulation" shall be "[§18(2)] of the Listing Regulation".

Of [§23(1)2], "[§47] of the Listing Regulation" shall be "[§23] of the Listing Regulation".

(3) and (4) [Omitted]

ADDENDA
(December 7, 2022)

§1. Effective Date

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs. etc.

§2. Preparation for Registration of High-speed Algorithmic Traders and Exception Therefrom

(1) The Exchange may process applications related to registration or report of high-speed algorithmic traders from one (1) month prior to the effective date of these regulations.

(2) Notwithstanding the provisions of [§40(5)] and [§50-3] in relation to the high-speed trading, a member or its customers may conduct high-speed algorithmic trading without registering or reporting high-speed algorithmic trading until three (3) months after the enforcement of these regulations.

ADDENDUM
(Regulation No. 2280 / February 5, 2025)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.

ADDENDA
(Securities Market Clearing and Settlement Business Regulations)
(Regulation No. 2287 / February 5, 2025)

§1. Effective Date

This Regulation shall become effective on March 4, 2025.

§2. Revision of Other Regulations

1. [Omitted]

2. The KOSDAQ Market Business Regulation shall be partially amended as follows:

Chapter 4 ([§28 through 32-2] shall be deleted.

3. [Omitted]

ADDENDUM
(Regulation No. 2403 / January 28, 2026)

This Regulation shall become effective on January 29, 2026.

ADDENDUM
(Regulation No. 2416 / March 4, 2026)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the necessary computer programs.